

Simtora Technologies, Inc.

Finance and Accounting Manual

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Approved by	Chief Executive Officer
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Review cycle	Annually, or sooner when the law, accounting standards, lenders' terms or the business change
Applies to	All employees, officers, contractors and agents of Simtora Technologies, Inc. ("Simtora" or "the Company") who spend, commit, collect, record or report Company money
Related manuals	HR Policy Manual (SIM-HR-001); Global People Supplement (SIM-HR-002); International Operations Supplement (SIM-GLB-001, Part 3); IT Policy Manual (SIM-IT-001); Code of Ethics and Compliance Manual (SIM-CMP-001); Procurement Policy Manual (SIM-PRC-001); Facilities and Office Administration Manual (SIM-FAC-001)

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Introduction

This Finance and Accounting Manual is the central reference for how Simtora Technologies, Inc. plans, spends, collects, records and reports money. It applies to every U.S. location where the Company does business, including remote employees, and it sets the rules that protect Company funds, keep the books accurate, and give the CEO, the Board, lenders, customers and auditors confidence in our numbers.

Our finance principles

Every policy here follows from seven commitments. Simtora will:

1. **Record honestly.** Every transaction is recorded accurately, completely and in the right period, with support that a stranger could follow. No one is ever asked, or allowed, to make the books say something that did not happen.
2. **Separate duties.** No one person can start, approve, pay and record the same transaction.
3. **Spend deliberately.** Money is committed only with the right approval, against a budget, for a business purpose.
4. **Protect cash.** Payments, bank access, vendor bank details and customer data are guarded against error and fraud, including impersonation and business email compromise.
5. **Report on time.** Management, the Board, lenders and tax authorities receive accurate numbers by the dates set in this manual.
6. **Follow the law and the standards.** We apply U.S. Generally Accepted Accounting Principles (GAAP), federal, state and local tax law, wage-and-hour law and our contracts, and where state or local law is stricter, the stricter rule prevails.
7. **Make it easy to do right.** Systems, templates and approval workflows should make the compliant path the fastest path. Finance is a partner to the business, not a gatekeeper for its own sake.

Risk-based approach

Controls in this manual are scaled to risk. Higher-value, higher-risk or less routine transactions (large payments, new vendors, changes to bank details, manual journal entries, non-standard customer terms, related-party dealings) receive more review than routine ones. Anyone who sees a risk that a control does not cover should tell the Controller (finance@simtora.example). The CFO reviews the Company's financial risks at least annually with the Executive Team and reports to the Audit Committee (see 6.5 and 9.6).

How to use this manual

- **Status of this manual.** This manual sets Company policy on financial matters. It is not a contract of employment. Nothing in it alters at-will employment.
- **Changes.** The CFO may issue interim updates between annual reviews, with notice to affected teams through the Finance intranet page. Material changes to approval limits, accounting policy or control design need CEO approval, and changes affecting the Audit Committee's oversight are reported to it at its next meeting. The version on the Finance intranet page is always the current one.
- **Conflicts.** Where this manual conflicts with applicable law, the law governs. Where it conflicts with a signed agreement authorized under Part 1.2 (for example, a lender's covenants), that agreement governs and the CFO will amend the manual. State or local law that is stricter than a policy here overrides the policy to the extent of the difference. Where this manual conflicts with another Simtora manual, the Code of Ethics and Compliance Manual prevails on ethics matters, the HR Policy Manual on employment matters, and this manual on financial control and accounting matters.
- **Supplements.** Teams may add procedures specific to their work, but those may not weaken any control in this manual.
- **Systems.** Where this manual refers to the "General Ledger system," "expense system," "billing system," "payroll provider," "travel platform," "spend management platform" or "banking portal," it means the tools the Finance team designates and lists on the Finance intranet page. Tool vendors may change; the controls do not.
- **Questions.** Ask your manager first, then Finance (finance@simtora.example).

Finance contacts

Address	Use
<code>finance@simtora.example</code>	General finance questions, policy exceptions, month-end matters
<code>ap@simtora.example</code>	Vendor invoices, vendor onboarding, payment status, corporate-card and expense-report support
<code>billing@simtora.example</code>	Customer invoices, collections, credit memos, refunds, remittance advice
<code>payroll@simtora.example</code>	Pay questions, tax withholding, garnishments, off-cycle corrections (works with HR at <code>hr@simtora.example</code>)
<code>ethics@simtora.example</code>	Concerns about fraud, misreporting or pressure to bend the rules (anonymous reports accepted)
<code>audit@simtora.example</code>	Audit Committee of the Board (accounting, internal-control and auditing complaints)

Finance will never ask for a password, authentication code or one-time passcode, and will never change a payee's bank details on the strength of an email alone. If you receive such a request that appears to come from Finance, the CFO, the CEO or a vendor, verify it by a known phone number and report it to `security@simtora.example` (see IT Policy Manual).

Locations outside the United States

Simtora Technologies, Inc. owns five subsidiaries, one in each R&D country: Simtora Technologies (Pvt.) Limited (Pakistan), GmbH (Germany), SAS (France), Pty Ltd (Australia) and UK Limited. This manual's controls apply to all of them. The **International Operations Supplement (SIM-GLB-001), Part 3** covers what changes: local statutory books and close timing, currencies and banking, intercompany service agreements and transfer pricing (the parent owns all IP), indirect taxes (VAT, GST, local sales tax) and e-invoicing, local payroll and employer taxes, statutory filings and audits, R&D tax incentives, and local insurance. **The approval levels and thresholds in 1.2 apply in U.S. dollar equivalents in every country**, and country leaders have no extra authority beyond them.

Roles and responsibilities (summary)

Role	Main responsibilities under this manual
All employees	Spend only with approval; keep receipts and business purposes; submit expenses on time; protect Company cards and data; report errors, red flags and suspected fraud.
Managers and budget owners	Own their budgets; approve spend and expenses within limits after reviewing support; never approve their own or a more senior person's expenses; explain variances.
Department Heads	Accountable for their department's spend, forecasts and compliance with this manual; approve within Part 1.2 limits.
Finance team	Operate the controls in this manual; keep the books, pay bills, bill customers, run payroll funding, manage cash, and produce reports.
Controller	Owns accounting policy, the close, the chart of accounts, reconciliations, journal-entry review, accounting for tax, and the fixed asset and lease registers.
Head of FP&A and Treasury	Owns the budget, forecast, cash forecast, banking, investments and financial-risk monitoring.
CFO	Owns this manual; accountable for the books, controls, financial reporting, treasury, tax, insurance and audit relationships; certifies financial statements to the Board, lenders and auditors as required.
HR (Chief People Officer)	Owns employee data, pay rates, leave and benefit eligibility; works with Payroll on every payroll run (Part 5).
Head of IT / CISO	Co-owns financial-systems access and IT general controls with the Controller; approves IT and SaaS purchases from a security and privacy standpoint (IT Policy Manual).
General Counsel and Compliance Officer	Contract review, legal holds, litigation reporting, anti-corruption and sanctions checks, related-party review, investigations (Code of Ethics and Compliance Manual).

Part 1 – Governance, Authority and Controls

1.1 The Finance Function and Its Roles

Purpose. To define who does what in Finance, how the team is organized, and how Finance is governed.

Scope. The Finance team and everyone who works with it.

Organization

Role	Reports to	Main activities
Chief Financial Officer (CFO)	CEO (direct line to the Audit Committee chair)	Financial strategy, planning, reporting, controls, treasury, tax, insurance, audit and investor or lender relations.
Controller	CFO	General ledger, close, technical accounting, financial statements, reconciliations, fixed assets, leases, revenue accounting, accounting for equity awards.
Head of FP&A and Treasury	CFO	Budget, forecast, reporting to the Board, cash forecast, bank relationships, investments, headcount planning with HR.
Accounts Payable and Expense Lead	Controller	Vendor master, invoice processing, payment runs, corporate cards, expense audit.
Billing and Collections Lead	Controller	Invoicing, collections, cash application, credit memos, customer credit, sales-tax invoicing data.
Payroll Manager	Controller (with a working line to the Chief People Officer)	Payroll processing with the payroll provider, payroll accounting and remittances, year-end forms.
Tax Manager (with outside advisers)	CFO	Income, sales and use, payroll, property and information-return compliance; tax provision inputs.
Finance Systems Administrator	Controller	Configuration and access administration for the General Ledger, billing, expense, procurement and payroll interfaces, working with IT.

The CFO may reorganize these roles as the Company grows. The principle that matters is segregation of duties (see 1.3), not the job titles.

Finance Control Committee

- **Members.** CFO (chair), Controller, Head of FP&A and Treasury, and a representative of Legal. The Head of IT / CISO attends for systems items.
- **Meets** monthly, after the close.
- **Reviews** the close and its issues, significant estimates and judgments, exceptions granted under 1.6, control deficiencies, unusual transactions, and policy changes. Minutes are kept and available to the Audit Committee and auditors.

Responsibilities of the CFO

- Own this manual, the chart of accounts, the accounting policies in Part 2 and the control framework.
- Certify the annual financial statements and related representations to the Board, lenders and external auditors as required.
- Report to the Audit Committee at least quarterly, and immediately (within 24 hours) on any suspected fraud, misstatement or control failure that could be material or that involves an officer.
- Ensure the Finance team is trained, adequately staffed and has continuity cover (see 1.3, key-person cover).

Continuity and key-person cover

- Every critical Finance activity (payment runs, payroll, close, bank access, tax deadlines) has a named primary and backup, listed on the Finance intranet page and reviewed each quarter.
- When someone in a control role is away for more than 3 business days, their duties are formally delegated in the expense, approval or banking system, and the delegation ends on their return. Delegates never approve their own transactions.
- Access credentials are never shared. Delegation is done by system role, not by lending a login.

Training

- New Finance staff complete security, privacy and code-of-conduct training within 30 days of hire (see HR Policy Manual) plus a role-based orientation to this manual within 30 days.
- All managers who approve spend receive an annual briefing on approval duties, fraud red flags and expense rules.
- Finance staff who handle payments complete fraud and impersonation-awareness training at hire and annually.

1.2 Delegation of Authority and Approval Limits

Purpose. To make clear who may commit Simtora's money and sign for it, so that spending is authorized, traceable and proportionate to risk.

Scope. Every commitment to spend, every contract, every payment and every write-off, regardless of who initiates it.

Policy

General rules

- Authority comes from the Board to the CEO, and from the CEO to the CFO, General Counsel and Department Heads, and is used only within the limits of this section and Appendix B.
- **Approval limits are measured by total committed value over the whole term** (for example, a 3-year software subscription of 40,000 *ayear* is a 120,000 commitment), including renewals that happen automatically, unless the contract can be cancelled without penalty on 30 days' notice or less.
- **Do not split.** Splitting a purchase, contract, invoice or payment into pieces to stay under a limit is a violation of this manual and may lead to corrective action (see HR Policy Manual 2.3).
- **No self-approval.** No one may approve a transaction that pays or benefits themselves, their relatives, or a person or business they have a personal relationship with. Such matters go to the next level up and are disclosed under the Code of Ethics and Compliance Manual (conflicts of interest).

- **Approve up, not sideways.** An approver must be senior to, or in a different reporting line from, the requester and must be an accountable owner of the budget being charged.
- **Approvals are made in the system** (procurement, expense, billing, payment or banking system). Email or chat approvals are not accepted for payments, except in an emergency approved by the CFO and logged within 1 business day.
- **Budget check.** Approvers confirm the spend is in the approved budget. Unbudgeted spend needs the approvals in the table plus the budget-change steps in 8.2.
- **Required reviews come first.** Regardless of amount, an IT or SaaS purchase needs IT security and privacy review before commitment (IT Policy Manual), and a new vendor needs the compliance onboarding described in 4.2 and in the Procurement Policy Manual (Part 4).

Spending and commitment authority

Total committed value	Approval needed
Up to \$5,000	Budget owner (manager)
5, 000.01–25,000	Department Head
25, 000.01–100,000	Department Head and CFO
100, 000.01–500,000	CFO and CEO
Over \$500,000	CEO and the Board (or a Board committee it designates)

Additional rules:

- Purchases in the first row must still use the right channel (procurement request, corporate card, or expense) and be within budget.
- Contracts with a total value above **\$25,000** are reviewed by Legal before signature. Non-standard customer terms are reviewed under 3.1.
- Commitments the Board must approve regardless of amount: borrowing, guarantees, liens, issuance of equity or equity awards, acquisitions or disposals of a business, sale or lease of real property, opening or closing bank accounts, and any related-party transaction over the Compliance threshold (\$10,000 per year, Audit Committee review).

Signing authority

- Only the **CEO, CFO and General Counsel** may sign contracts on the Company's behalf without a specific delegation.
- **Department Heads** may sign standard-form, budgeted vendor contracts up to **\$25,000** total value, after Legal has approved the form (or the Legal-approved template is used unchanged).
- **Sales** may sign customer agreements only on Legal-approved paper and within the discount and terms limits in 3.1; any deviation goes through deal review.
- Nobody else, including managers and engineers, may sign, click-accept or otherwise bind Simtora to a contract, order form, statement of work or terms of service for anything with a cost or legal obligation. Employees who accept terms in the course of using free tools must first have them approved under the IT Policy Manual.
- The **contract register** (kept by Legal with Finance) records every signed contract, its value, term, renewal date and owner. The owner is responsible for renewals: notice is given **90 days before** any auto-renewal date so that pricing, need and terms can be reviewed.

Payment authority

Payment	Release requirements
Routine ACH or virtual-card vendor payments in an approved payment run	Prepared by AP; approved by Controller (or delegate)
Any single payment or run over \$100,000	CFO plus one other authorized approver
Any single payment over \$500,000	CFO and CEO
Wire transfers and first-time or changed beneficiaries	Dual approval, plus a call-back verification (see 4.4)
Manual checks	Controller and CFO (checks are exceptions; see 4.4)
Payments to third parties or third countries not connected to the transaction, or in cash	

Responsibilities

- **Approvers** are accountable for what they approve: they check purpose, amount, budget, support and reasonableness, and do not "rubber-stamp."
- **Finance** checks that approvals are present and at the right level before recording or paying, and will return items that lack them.
- **CFO** maintains Appendix B and reviews the list of authorized approvers and signers each quarter and on every relevant departure or role change.

1.3 Internal Control Framework and Segregation of Duties

Purpose. To ensure Simtora's assets are safeguarded, transactions are valid and recorded correctly, and financial reports are reliable.

Scope. All Finance processes, financial systems and business processes that feed the books.

Policy

Framework

- Simtora designs its internal controls using the **COSO Internal Control – Integrated Framework (2013)**: control environment, risk assessment, control activities, information and communication, and monitoring.
- Simtora is privately held and is not currently subject to Sarbanes-Oxley Section 404. It nevertheless maintains a documented **risk-and-control matrix (RCM)** for key financial processes and tests it annually, because customers, lenders, insurers, auditors and any future financing or listing will expect it (see 9.6).
- The Controller owns the RCM. Each key control has a named owner, frequency, evidence and test procedure.

Segregation of duties (SoD). For each process below, the roles are performed by different people (see the matrix in Appendix D):

Process	Duties that must be separated
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- Where the size of the team means full segregation is impossible for a specific step, the CFO documents a **compensating control** (for example, independent review of the resulting report by someone outside the process) and reports it in the exceptions register (see 1.6).

Key control activities (detailed in the relevant parts):

- Authorization and approval limits (1.2)
- Three-way match of purchase order, receipt or acceptance, and invoice (4.3)
- Vendor and customer master-data controls (3.1, 4.2)
- Bank-payment controls: dual approval, call-back verification, positive pay (4.4, 6.1)
- Payroll register review and reconciliation (5.2)
- Monthly reconciliation of all balance-sheet accounts (9.2)
- Review of journal entries (9.2)
- Physical and system verification of assets (7.2)
- Quarterly access reviews of financial systems, with IT (1.4, 11.2)
- Monitoring through internal audit and control testing (9.5, 9.6)

Documentation. Process narratives and flowcharts for the main processes (order-to-cash, procure-to-pay, payroll, treasury, close, fixed assets, tax) are kept on the Finance intranet page and reviewed annually by process owners.

Third-party service providers. For providers that process or store financial data or transactions (payroll provider, payment processors, expense platform, General Ledger vendor, banks), the Controller obtains and reviews their **SOC 1 Type II** report (or a SOC 2 report where SOC 1 does not exist) annually, including complementary user-entity controls, and documents any gaps. Vendor security review follows the IT Policy Manual.

Responsibilities

- **Process owners** operate controls, keep evidence, and report failures within 1 business day.
- **Controller** maintains the RCM, coordinates testing and tracks remediation.
- **CFO** is accountable for the overall control environment.
- **Managers** across the Company own the controls in processes they run (for example, approving a timesheet or accepting a delivery).

1.4 Financial Systems and Chart of Accounts

Purpose. To ensure the systems and the account structure that produce Simtora's financial information are secure, consistent and controlled.

Scope. The General Ledger system, billing and subscription system, procurement and spend-management tools, expense and card platform, payroll provider and interfaces, banking portals, fixed-asset register, reporting tools and spreadsheets used for financial reporting.

Policy

Systems governance

- The **Controller** is the business owner of the financial systems; the **Head of IT / CISO** owns their technical security, together with the Finance Systems Administrator. Purchases of financial systems follow the IT Policy Manual and Part 4.
- **Access** follows least privilege and role-based design that has been checked for SoD conflicts before roles are granted. Access is requested through IT, approved by the Controller (or CFO for privileged roles), and removed on the timelines in the IT Policy Manual (ready on day 1; removed at the end of the last day, immediately if involuntary; mover changes within 2 business days).
- **Access reviews** for the General Ledger, billing, payroll interface, expense platform, banking portals and any system able to create payments are done **quarterly** by the Controller with IT, with the results retained as audit evidence.
- **Multi-factor authentication** is required for all financial systems; **phishing-resistant** MFA (security keys or passkeys) is required for banking portals and for administrators.
- **Change management.** Changes to configuration that affect accounting or approvals (approval workflows, tax settings, revenue rules, chart of accounts, payment templates) require a documented request, testing, Controller approval and an audit trail. Emergency changes are reviewed after the fact within 5 business days.
- **Reports produced by the system** that support a control or the financial statements (for example, aging reports) are validated for completeness and accuracy at implementation and after any change, and the validation is kept.

- **Spreadsheets** used for accounting (for example, revenue schedules, tax provisions, allocations) must be version-controlled, stored in the Finance shared repository, protected against unauthorized change, and reviewed by someone other than the preparer.
- **Backup, recovery and continuity** of financial systems follow the tiering in the IT Policy Manual (the General Ledger, billing, payroll interface and banking access are treated as at least Tier 1, with Tier 0 treatment for anything that can release funds during an incident). Finance keeps an offline list of critical contacts and bank support numbers.

Chart of accounts (COA)

- The COA uses a numeric structure with additional **dimensions** for entity, department, product line, project or customer segment, and location, so reports can be cut without creating new accounts.

Range	Type	Examples
1000–1999	Assets	1000s cash and equivalents; 1100s accounts receivable and allowance; 1200s prepaids and other current assets; 1300s deferred contract costs; 1500s property and equipment; 1600s capitalized software; 1700s right-of-use assets; 1900s deposits and other
2000–2999	Liabilities	2000s accounts payable and accruals; 2100s payroll liabilities; 2200s sales-tax and other taxes payable; 2300s deferred revenue; 2400s lease liabilities; 2500s debt
3000–3999	Equity	Common and preferred stock, additional paid-in capital, retained earnings, accumulated other comprehensive income
4000–4999	Revenue	Subscription, usage, professional services, support, other
5000–5999	Cost of revenue	Hosting and cloud infrastructure, third-party software in the product, support and customer success, professional-services delivery, amortization of capitalized software
6000–6999	Research and development	Salaries, contractors, tools, allocated costs
7000–7999	Sales and marketing	Salaries and commissions, programs, events, travel, amortization of deferred commissions
8000–8999	General and administrative	Salaries, legal, audit, insurance, rent, software, depreciation
9000–9999	Other income and expense; taxes	Interest income and expense, FX gains and losses, income taxes

- **Account creation, change or closure** is requested from the Controller with a reason, the proposed number and dimensions, and the reports affected. The Controller checks

for duplicates and approves. The CFO approves new revenue accounts and any account that changes external reporting. Requests and approvals are retained.

- **Coding.** The requester or approver assigns the department and account on every purchase and expense. AP checks coding before posting. Incorrect coding found later is corrected by journal entry, never by deleting or overwriting posted transactions.
- **Miscellaneous or "sundry" accounts** may only be used with Controller approval and are reviewed monthly; suspense accounts are cleared as set out in 9.2.
- The COA is reviewed each year during the budget cycle.

Responsibilities

- **Controller:** owns the COA and system controls; approves account changes.
 - **Finance Systems Administrator:** implements approved changes, keeps evidence.
 - **IT:** security, backup, monitoring, identity and access support.
 - **All users:** use only their own credentials, never bypass a workflow, and report any system error or suspicious activity immediately.
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1.5 Fraud Prevention and Raising Concerns

Purpose. To keep Simtora's money safe, deter fraud and misreporting, and make it safe and simple to raise concerns.

Scope. Everyone, and every transaction. This section is the finance-specific companion to the Code of Ethics and Compliance Manual (reporting concerns, investigations, non-retaliation) and the HR Policy Manual (whistleblower policy).

Policy

What counts. Examples of fraud and misconduct include falsified or altered invoices, expense claims or timesheets; fictitious vendors or employees ("ghosts"); kickbacks; diverting customer payments; changing bank details for a payee without authority; manipulating revenue, expenses, reserves or forecasts to meet targets; misusing Company cards; theft of cash, equipment or data; and concealing errors.

Prevention.

- The controls in this manual (segregation of duties, approvals, call-backs, reconciliations, access reviews, positive pay) are the primary fraud defenses. Anyone who overrides, bypasses or pressures another person to bypass a control is committing a policy violation.
- Finance runs **data analytics** at least monthly on payments and expenses, including duplicate invoices and payments, round-dollar and just-below-limit amounts, weekend or holiday entries, vendors sharing addresses or bank accounts with employees, vendors without a purchase order, and unusual manual journal entries. Results are reviewed by the Controller and kept.
- **Payment fraud awareness.** Fraudsters impersonate executives, vendors and customers by email, text, phone and deepfake voice or video. Finance never acts on payment or bank-detail instructions received only by email, chat or an unsolicited call: they are verified as described in 4.2 and 4.4.
- **Mandatory time away.** People in payment, cash, payroll or vendor-master roles take at least 5 consecutive business days of PTO each year, during which their duties are performed by a delegate. This helps detect irregularities.
- **Pre-employment.** Background checks for Finance roles follow the HR Policy Manual and applicable law (including FCRA and state fair-chance laws).

Reporting.

- Anyone who suspects fraud, misstatement, pressure to record something incorrectly, or breach of a control should tell their manager, the Controller, the CFO, or use the **Ethics Line** (ethics@simtora.example , anonymous web form available). Accounting, internal-control or auditing concerns may also go directly to the **Audit Committee** (audit@simtora.example).
- Managers pass concerns on within **1 business day**. The CFO informs the CEO and the Audit Committee chair within **24 hours** of any suspected fraud that could be material, involves an officer, or involves customer or employee funds.
- The Compliance Officer runs investigations. Accounting, fraud or matters over **\$50,000** are investigated with the General Counsel and CFO (or, if the CFO is involved, an investigator chosen by the Audit Committee). Anything involving the CFO, CEO, General Counsel or the Compliance function goes to the Audit Committee (see the Code of Ethics and Compliance Manual).
- **Non-retaliation.** Simtora prohibits retaliation against anyone who raises a concern in good faith or cooperates with an investigation. Adverse action within 12 months of a

report needs HR and Compliance review.

Response.

- On suspicion, Finance protects evidence (system logs, emails, documents), does not confront the person, and does not alter records. IT preserves data under a legal hold when the General Counsel issues one (see 11.3).
- Where fraud is confirmed, Simtora may take corrective action up to and including termination (subject to the HR Policy Manual), recover losses where lawful, report to law enforcement and to the insurer, and fix the control gap. Recovery from an employee's pay is only made where the law permits and with any required written authorization (see 5.1).
- Losses from suspected crime, cyber fraud or social-engineering payments are reported **the same day** to the CFO, who notifies the bank (recall requests should be made within hours), the insurance carrier and the FBI's Internet Crime Complaint Center as advised by Legal.

Responsibilities

- **All employees:** act honestly, report concerns, cooperate with reviews.
 - **Managers:** know and enforce controls in their area; never pressure anyone to meet a deadline by bypassing them.
 - **CFO:** owns fraud-risk assessment (annually, in the RCM) and reports to the Audit Committee.
 - **Compliance Officer and General Counsel:** investigate, advise on legal duties and notifications.
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1.6 Exceptions to This Manual

Purpose. To allow limited, controlled and transparent departures where a rule cannot reasonably be met.

Policy

- An exception must be **requested in writing** through `finance@simtora.example`, stating the rule, the reason, the risk, the compensating controls and the proposed

duration.

- The **CFO** approves exceptions to this manual. Exceptions that involve the CFO are approved by the CEO. Exceptions to the Code of Ethics and Compliance Manual follow that manual, not this one. **No exception** may be granted to the rules on anti-bribery, sanctions, cash and third-party payment limits, fictitious records, or non-retaliation.
 - Every exception has an end date of **no more than 12 months** and is recorded in the **exceptions register**, which the Finance Control Committee reviews monthly and the Audit Committee receives quarterly.
 - Emergency exceptions may be approved orally by the CFO and must be documented within 1 business day.
 - Exceptions to IT security requirements follow the IT Policy Manual's exception process, with the CISO's approval in addition.
-

Part 2 – Accounting Policies

2.1 Basis of Accounting, Fiscal Year, Materiality and Estimates

Purpose. To set the principles on which Simtora's financial statements are prepared.

Scope. All accounting entries and financial statements of Simtora and any subsidiaries.

Policy

- **Standards.** Simtora prepares its financial statements in accordance with **U.S. GAAP** as issued by the Financial Accounting Standards Board (FASB), using the **accrual basis** of accounting. Management may prepare additional cash-basis or non-GAAP views (for example, ARR or free cash flow) for internal use, always reconciled to GAAP where applicable and labeled as non-GAAP.
- **Fiscal year.** The fiscal year is the **calendar year**, January 1 to December 31. Fiscal quarters end March 31, June 30, September 30 and December 31. The first full fiscal year under this manual is 2027; the period from the effective date to December 31, 2026 is the close of fiscal 2026.

- **Reporting currency** is the U.S. dollar (see 2.5 for foreign currency).
- **Core principles.** Historical cost; matching of revenue and related costs in the period they occur; accrual of revenue and expense at period-end for items not yet recorded; consistency of policies period to period; going-concern basis; conservatism in estimates (no deliberate overstatement of assets or income, or understatement of liabilities or expenses).
- **Cut-off.** Revenue and expense are recorded in the period in which the service or delivery occurred, not when the invoice is issued or cash moves. Every close includes a search for unrecorded liabilities and unbilled revenue (see 9.1).
- **Materiality.** The Controller and external auditors set **financial-statement materiality** annually. For the internal monthly close, individual errors above 10,000 *, *or aggregated uncorrected errors above * 25,000*, are corrected in the current period. Smaller items are tracked on an **unadjusted differences log** reviewed quarterly. Materiality never excuses intentional misstatement or errors that hide a trend, breach a covenant, change a profit or loss into the opposite, or affect compensation.
- **Significant estimates and judgments** (revenue allocation, standalone selling prices, capitalization of software, useful lives, credit-loss reserves, stock-based compensation inputs, income-tax positions, litigation reserves, lease terms and discount rates) are documented in an **accounting memo** prepared by the Controller, reviewed by the CFO, shared with the external auditors, and reported to the Audit Committee at least annually or when a change is significant. Changes in estimates are applied prospectively as GAAP requires.
- **Accounting policy changes** (including adoption of new FASB standards) are proposed by the Controller, approved by the CFO, and reported to the Audit Committee before adoption. The Controller monitors upcoming standards each quarter.
- **Consolidation.** Entities the Company controls are consolidated; intercompany balances and transactions are eliminated. Any new legal entity is approved by the CEO and Board with input from Legal and Tax and is set up in the General Ledger by the Controller before it transacts.

Responsibilities

- **Controller:** accounting policy, memos, period-end judgments.
- **CFO:** approves policy and estimates; owns communication with auditors and the Audit Committee.

2.2 Revenue Recognition

Purpose. To ensure revenue is recognized when, and only when, the Company has transferred promised goods or services to customers, in the amount it expects to be entitled to (ASC 606).

Scope. Subscription (SaaS), usage-based, professional services, implementation, training, support, licensing, resale and any other customer revenue.

Policy

The five steps. For every customer contract Finance applies these steps and documents the conclusion:

1. **Identify the contract.** There must be approval by the parties, identifiable rights and payment terms, commercial substance, and probable collection. Contracts are enforceable when properly signed (or accepted under approved online terms). Side letters, oral promises, undocumented rights or "handshake" concessions are **prohibited** (see 3.1).
2. **Identify performance obligations.** Typical obligations: access to the hosted platform (a stand-ready obligation, satisfied over time); support; distinct implementation, consulting or training services; distinct licenses; distinct hardware or resale items.
3. **Determine the transaction price.** Includes fixed fees and estimates of variable consideration (usage overages, SLA service credits, rebates, refunds, penalties), constrained to the amount for which a significant reversal is not probable. Significant financing components are considered where payment is more than 12 months from delivery.
4. **Allocate the price** to performance obligations on the basis of **standalone selling price (SSP)**. The Controller maintains an SSP analysis, reviewed at least annually, using observable prices, ranges of discounting and cost-plus approaches where necessary.
5. **Recognize revenue** when (or as) each obligation is satisfied.

Recognition patterns

Revenue type	Recognition
--------------	-------------

Contract modifications (upsells, downsells, extensions, early renewals, credits) are evaluated by the Controller and accounted for either as separate contracts, a termination and new contract, or a cumulative catch-up, as ASC 606 requires.

Balance-sheet presentation.

- **Deferred revenue (contract liabilities)** for amounts billed or received before performance.
- **Unbilled receivables / contract assets** where revenue is recognized before it can be billed.
- **Refund liabilities** for expected refunds and credits.
- Deferred revenue expected to be recognized within 12 months is classified as current.

Controls over revenue

- Revenue schedules are prepared monthly from the billing system and contract data, reconciled to the General Ledger and reviewed by the Controller.
- Revenue entries related to non-standard terms, contract modifications, SSP changes, or amounts over 50,000 *
**in a single manual journal need Controller approval; over *250,000 need CFO approval.*
- Sales compensation must not be a reason to record revenue earlier. Sales, Customer Success and Professional Services may never instruct Finance on the timing of revenue. Any attempt to influence revenue timing is reported to the CFO and Compliance.
- Revenue cut-off is tested at the end of every quarter by sampling deals signed and services delivered in the last and first 5 business days around period-end.

Responsibilities

- **Sales and deal desk:** submit complete, accurate contracts; disclose all terms and side arrangements.
 - **Billing and Collections:** invoice per contract; keep master data accurate.
 - **Controller:** owns revenue policy, SSP, schedules and disclosures.
 - **CFO:** approves policy and significant judgments; reports to Audit Committee.
-

2.3 Contract Costs and Capitalized Software

Purpose. To set the accounting for costs to obtain and fulfill customer contracts and for software the Company develops or buys.

Scope. Sales commissions and bonuses, implementation costs, internal-use and hosted software development, cloud computing arrangements.

Policy

Costs of obtaining a contract (ASC 340-40)

- **Incremental costs** of obtaining a contract that Simtora expects to recover (typically sales commissions, and related payroll taxes) are **capitalized** and amortized on a straight-line basis over the period of benefit, which the Controller has determined to be **4 years** (customer life, including expected renewals, where a renewal commission is not commensurate with the initial one). The Controller reviews this period annually.
- The **practical expedient** is applied: where the amortization period would be **12 months or less**, the cost is expensed as incurred.
- Costs that would be incurred whether or not a contract is obtained (for example, salaries, travel, marketing) are expensed as incurred.
- Capitalized costs are tested for impairment when contracts terminate early or churn changes materially.

Costs to fulfill a contract. Direct set-up or onboarding costs that create a resource used to satisfy future performance obligations, are recoverable and are not covered by another standard, are capitalized and amortized over the contract term; other delivery costs are expensed as incurred.

Internal-use software and hosted platform (ASC 350-40)

- The Simtora platform is generally **internal-use software** because customers access it without taking possession.
- Costs in the **preliminary project stage** (concept, evaluation, selection) and **post-implementation / operation stage** (maintenance, training, bug fixes that do not add function) are **expensed**.

- Costs in the **application-development stage** (design of the chosen path, coding, integration, testing, including payroll and payroll-related costs and external costs directly attributable to the project) are **capitalized** once (a) the preliminary stage is complete, (b) management with the authority approves and commits funding, and (c) it is probable the project will be completed and used as intended.
- Capitalization starts only with an approved project charter and ends when the software is ready for its intended use. **Amortization** is straight-line over an estimated useful life of **3 years**, beginning when the software is placed in service; enhancements that add new functionality are capitalized separately, and routine upgrades are expensed.
- **Time capture.** Engineers, product managers and designers working on capitalizable projects record time by project in the engineering time system (or by sprint-to-project mapping approved by the Controller). The Controller and the head of Engineering review the **capitalization schedule quarterly**, and support (project charters, stage assessments, time reports) is retained for audit.
- Projects with total capitalizable cost under **\$50,000** are expensed for administrative simplicity unless the Controller decides otherwise.
- Capitalized software is tested for impairment when the product is retired, scope is abandoned, or usage falls significantly.
- The Controller monitors FASB changes to internal-use software guidance (including ASU 2025-06) and adopts them by the required effective date or earlier if the CFO decides.

Software to be sold or licensed externally (ASC 985-20). Costs are expensed as research and development until **technological feasibility** is established (rarely reached for Simtora's cloud-first model); qualifying subsequent costs are capitalized and amortized over the product's estimated life. Any proposed use of this guidance needs CFO approval.

Cloud computing arrangements (hosting services bought by Simtora).

- Subscription fees are expensed over the service term.
- **Implementation costs** of a hosting arrangement that is a service contract are capitalized (as prepaid or other assets) when they exceed **\$25,000** for the arrangement, and amortized over the term of the hosting arrangement; the costs are presented in the same expense line as the fees.
- Licenses that qualify as software purchased (rare) follow the capitalization rules in 7.1.

Responsibilities

- **Controller:** applies the policy and maintains schedules.
 - **Head of Engineering and Product:** ensures accurate project charters and time capture.
 - **Sales Operations and Finance:** maintain the commission schedule and confirm which costs qualify.
-

2.4 Cash, Investments and Financial Instruments

Purpose. To set the accounting for cash, investments, receivables and other financial instruments.

Scope. Bank balances, money-market funds, securities, receivables, payables, debt, convertible instruments and any derivatives.

Policy

- **Cash and cash equivalents** include cash in banks, and highly liquid investments with **original maturities of three months or less** (for example, government money-market funds and Treasury bills). Restricted cash (for example, collateral for letters of credit, credit-card security deposits) is shown and disclosed separately.
- **Investments** in debt securities (see 6.3) are classified at purchase as **held-to-maturity** (amortized cost, only where Simtora has the intent and ability to hold), **available-for-sale** (fair value, unrealized gains and losses in other comprehensive income) or **trading** (fair value through earnings), in line with ASC 320. Unless the CFO decides otherwise, securities are classified as available-for-sale.
- **Credit losses (ASC 326).** Receivables and held-to-maturity securities carry an **allowance for expected credit losses** based on historical loss experience, current conditions and reasonable forecasts. The starting matrix for trade receivables is in 3.2 and is reviewed quarterly. Available-for-sale securities are reviewed for credit impairment each quarter.
- **Fair value.** Where required, the Controller measures fair value using the hierarchy (Level 1 quoted prices, Level 2 observable inputs, Level 3 unobservable inputs) and documents the source.

- **Debt and financing instruments** (term loans, revolvers, convertible notes, SAFEs, warrants) are recorded and classified as GAAP requires (including embedded-derivative and equity-versus-liability analysis) on a memo prepared by the Controller before signing whenever possible. Debt issuance costs are amortized over the term.
 - **Derivatives.** Simtora **does not enter derivatives or speculative positions** unless the Board approves a hedging policy first (see 6.5).
 - **Offsetting.** Financial assets and liabilities are offset on the balance sheet only when there is a legal right of set-off and an intent to settle net, as GAAP allows.
 - **Derecognition.** Receivables are derecognized only when collected, legally forgiven or written off under 3.3, or sold in a true-sale transaction approved by the Board.
-

2.5 Foreign Currency

Purpose. To ensure transactions in currencies other than the U.S. dollar are recorded consistently (ASC 830).

Policy

- **Simtora prices and invoices in U.S. dollars.** Any customer or vendor contract in a foreign currency needs CFO approval before signature (and Legal review of payment terms and exchange clauses).
- Foreign-currency transactions are recorded at the **spot rate on the transaction date**, using the rate source set by the Controller (for example, the bank or a published daily rate).
- **Monetary balances** (cash, receivables, payables) are **remeasured** at the rate on each balance-sheet date. **Realized and unrealized gains and losses** are recorded in **other income and expense**.
- **Foreign subsidiaries or branches**, if any, are set up only with CEO and Board approval. Their functional currency is determined by the Controller; translation adjustments go to other comprehensive income.
- **Expense reports** in a foreign currency are converted at the rate shown on the card or bank statement, or if none, on the rate for the transaction date published by the Controller.

- **Employees or contractors in a new country** (beyond the United States, Pakistan, Germany, France, Australia and the United Kingdom, where Simtora has entities) are not engaged without approval from HR, Legal, Tax and the CFO (employment, tax and permanent-establishment risk). Work from another country by existing staff follows SIM-HR-002, Part 1.9.
 - Simtora does not hedge currency exposure unless the Board approves a policy (see 6.5).
-

2.6 Leases, Provisions, Contingencies and Subsequent Events

Purpose. To set the accounting for leases, obligations of uncertain timing or amount, and events occurring after the balance-sheet date.

Policy

Leases (ASC 842).

- Every lease (office space, data-center space, equipment, vehicles and any contract that conveys the right to control an identified asset for a period) is reported to the Controller **before signing**. Facilities leases follow the Facilities and Office Administration Manual (SIM-FAC-001, 7.1); approval tiers are in 1.2.
- Simtora elects the **short-term lease exemption** for leases of 12 months or less without a purchase option reasonably certain to be exercised; expense is recognized straight-line.
- For other leases, the Controller records a **right-of-use asset** and **lease liability** at commencement using the rate implicit in the lease if known, otherwise Simtora's **incremental borrowing rate**, and updates them on modification or reassessment.
- Lease terms include renewal options only where exercise is reasonably certain. The lease register is reconciled to the General Ledger quarterly.

Provisions and accruals.

- A **liability** is accrued when a present obligation exists from a past event, an outflow is probable and the amount can be reliably estimated. If a range exists with no best estimate, the low end is accrued and the range disclosed.

- **Other recurring reserves:** the allowance for credit losses (3.2), refund and service-credit liabilities (2.2), accrued bonuses and commissions (2.8), accrued vacation (2.8), accrued cloud and vendor costs for services received but not invoiced (4.3), warranty and indemnification reserves if needed, and income-tax reserves (2.9). Each has a documented method and is reviewed quarterly.

Contingencies (ASC 450).

- Legal (General Counsel) reports every asserted or reasonably possible claim, dispute, investigation or regulatory inquiry to the CFO at least **quarterly** and within 2 business days of any new material matter, with an assessment of likelihood and range of loss.
- **Probable and estimable** losses are accrued; **reasonably possible** ones are disclosed; remote ones are not. Gain contingencies are not recognized until realized.
- Legal responds to audit-inquiry letters jointly with the CFO.

Subsequent events.

- Events occurring between the balance-sheet date and the issuance of the financial statements are evaluated. Events that provide evidence of conditions existing at year-end are **recognized**; events reflecting new conditions (for example, an acquisition, a loss from a post-year-end event) are **disclosed** if material.

2.7 Stock-Based Compensation and Equity

Purpose. To govern the accounting and administration of equity awards and capital.

Policy

- **Authority.** The Board (or the Compensation Committee under delegated authority) approves all equity awards, plans, plan-share reserves, financings and issuances. No manager or officer may promise equity. HR and Legal issue award agreements only after approval.
- **Accounting (ASC 718).** Equity-classified awards (options, RSUs, restricted stock) are measured at **grant-date fair value** and expensed over the requisite service period, with forfeitures recognized as they occur (or estimated, if the Controller adopts that election consistently). Performance conditions are assessed each quarter.

- **Valuation.** A **409A valuation** by an independent appraiser is obtained at least **annually** and after any material event (financing, acquisition offer, significant change in results) and before options are granted at a new price. The Controller retains the report, and the valuation supports the exercise price and fair-value inputs.
 - **Capitalization table.** Finance and Legal maintain the **cap table** and equity ledger (holder, class, shares, price, grant and vesting dates, exercises, forfeitures, cancellations). It is reconciled to the General Ledger and to any equity-management platform each quarter.
 - **Payroll tax.** Exercises, vesting of RSUs and other taxable equity events are reported to Payroll with the fair value, and withholding is made as the tax law and the plan require (for example, share-withholding or sell-to-cover), see 5.4.
 - **Dividends, buy-backs and tender offers** need Board approval. Dividends declared reduce equity when declared.
 - **Grants and awards to non-employees** need Board or Compensation Committee approval and Legal review.
 - Simtora's securities are not publicly traded. If Simtora considers listing, the Controller and General Counsel will prepare a readiness plan, including public-company reporting and a full insider-trading policy (see the Code of Ethics and Compliance Manual).
-

2.8 Employee Benefits and Compensation Accruals

Purpose. To ensure compensation-related liabilities and benefit plans are properly recorded.

Policy

- **Short-term compensation** (salaries, bonuses, commissions, payroll taxes, paid time off) is expensed as employees provide service. Bonuses and commissions are **accrued monthly** based on expected payout when there is a present obligation and a reliable estimate; the Controller reviews accruals with HR and Sales Operations each month.
- **Paid time off (PTO) and sick and safe leave.** Where employees are entitled to be paid out for accrued PTO (for example, in states that require it), or where policy makes PTO a vested benefit, Finance **accrues the liability monthly** based on the HR Policy Manual

(PTO of 15/20/25 days by service, 5-day carry-over). Sick and safe leave is accrued only where it is payable on separation or law requires. Payout on separation follows state law and the HR Policy Manual.

- **Defined-contribution plans (401(k)).** Employer contributions are expensed as incurred and remitted on time (see 5.4). The plan follows the plan document and ERISA. Finance supports the plan's **annual Form 5500** and, where the plan has more than 100 eligible participants at the start of the year, the required plan-financial audit, with HR and the plan's third-party administrator.
 - **Health and welfare plans.** Employer and employee premiums are recorded as incurred; self-insured stop-loss arrangements (if any) require Board approval and an actuarial or broker estimate for claims incurred but not reported (IBNR).
 - **Defined-benefit plans.** Simtora has none and will not adopt one without Board approval.
 - **Severance.** Severance under an approved plan or agreement is accrued when it is probable and estimable; one-time termination benefits are recognized as required by ASC 420 or ASC 712.
 - **Recognition awards, service awards and relocation:** see 5.5.
 - **ACA reporting.** Where Simtora is an applicable large employer (50 or more full-time-equivalent employees), Finance and HR file Forms 1094-C/1095-C on time (see 10.3).
-

2.9 Accounting for Income and Other Taxes

Purpose. To ensure Simtora's tax expense, liabilities and assets are reported correctly.

Policy

- **Income taxes (ASC 740).** Simtora is a C corporation. The Controller, with the Tax Manager and outside advisors, prepares a **quarterly income-tax provision**: current federal and state taxes, deferred tax assets and liabilities on temporary differences (including capitalized software, deferred revenue, stock compensation, research expenditures, depreciation, net operating losses and credits), and an assessment of whether a **valuation allowance** is required on deferred tax assets.
- **Uncertain tax positions.** Positions are recognized only when it is more likely than not that they will be sustained, at the largest amount that is more than 50% likely to be

realized. Interest and penalties are classified as the Controller determines and applied consistently.

- **Sales and use taxes, payroll taxes, property taxes and other non-income taxes** are accrued as liabilities when the obligation arises. **Sales taxes collected** from customers are recorded as liabilities, not revenue. Where the Company should have collected sales tax but did not, the exposure is assessed and accrued when probable and estimable (see 10.2).
 - **Tax law changes** are assessed by the Tax Manager and outside advisors when enacted, with effects recognized in the period of enactment.
 - **Research and experimentation expenditures** follow the tax treatment currently required; the Tax Manager tracks the Section 174/174A rules and any credit claims (see 10.4).
-

Part 3 – Order-to-Cash: Customers, Billing and Collections

3.1 Customer Contracts, Deal Review and Billing

Purpose. To ensure every customer deal is properly authorized, accurately recorded and correctly billed, and that revenue can be supported.

Scope. All new, renewal, expansion, reseller and partner agreements; quotes; order forms; statements of work; billing and invoicing.

Policy

Standard terms

- Simtora sells on **Legal-approved paper**, with standard payment terms of **net 30** from the invoice date, **annual billing in advance** (or quarterly or monthly as the price list allows), in **U.S. dollars**, with usage or overage billed in arrears monthly.
- Prices come from the approved price list in the quote system. Discounts require approval:

Discount from list price	Approval
Up to 10%	Account executive
10.01% – 20%	Head of Sales
20.01% – 30%	Head of Sales and CFO (deal desk)
Over 30%	CEO and CFO

Deal review for non-standard terms. The following need review by the **Controller** (revenue and cash effect) and **Legal** (risk) **before** the customer is offered them or the contract is signed:

- Payment terms longer than **net 45** (over net 60: CFO approval; over 12 months' deferral: CFO **and** CEO).
- Free periods or ramped pricing over **2 months**; multi-year price locks; unusually large price protections; most-favored-customer clauses.
- Acceptance or "success" criteria, right to reject, money-back or refund rights, termination for convenience with refund, or cancellation rights.
- Uncapped or increased liability, indemnities, service credits above standard SLA, or exclusivity.
- Commitments to future or unspecified features, roadmap items, or ability to change price of future products.
- Customer-drafted paper, purchase-order terms that override the agreement, or side agreements of any kind.
- Reseller, marketplace, revenue-share or partner arrangements; contingent fees; payments to or from customers (for example, incentives, rebates).
- Non-U.S.-dollar pricing, non-standard taxes or withholding language, or customer-requested changes to data-protection terms (Legal and Compliance).
- Government customers or funding, which may have special rules (Legal and Compliance).

No side letters. All terms must be in the signed contract or in a documented amendment. **Side letters, oral promises or informal arrangements are prohibited.** A salesperson or manager who makes one is subject to corrective action, and Finance escalates it to the CFO and Compliance.

Order-to-invoice

1. The signed contract, order form and any approvals are uploaded to the contract repository and CRM before booking.
2. **Sales Operations** books the order in the CRM with accurate dates, amounts, products and billing details, reviewed by Finance for completeness within **1 business day**.
3. **Billing** sets up or updates the customer in the billing system (legal name, bill-to address, tax status and exemption certificate, contacts, currency, terms). Customer bank or card details are entered only by the customer through the payment portal (see 11.2). Master-data changes to customers (name, address, terms, tax status, credit limit) are logged and reviewed by the Billing and Collections Lead.
4. **Invoices** are issued on the billing date in the contract, **within 2 business days** of the trigger event (contract start, renewal date, usage cycle close, milestone acceptance or delivery). Each invoice shows the legal entity, contract or PO number, service period, amounts, taxes and remittance instructions.
5. **Sales tax** is calculated by the tax engine based on ship-to/service location, product taxability and exemption certificates (see 10.2).
6. **Purchase orders** requested by customers are recorded on the invoice; missing POs must not delay billing without Controller approval.
7. **Renewals**. Renewal invoices are issued **30–60 days** before the renewal date per contract; Customer Success and Sales confirm renewals in the CRM 90 days ahead. Auto-renewals follow the notice periods in the contract and any state auto-renewal laws (Legal).
8. **Usage-based billing**. Usage data is extracted by the platform team, reconciled to the billing system, and reviewed by Billing before invoices are released; disputes are handled as in 3.3.
9. **Service credits for SLA failures** are approved under 3.3 and recorded as reductions of revenue.
10. **Revenue recognition** follows 2.2; the Controller reviews new or changed deals monthly.

Customer onboarding checks. For new customers, or any deal with annual contract value above 50,000 *

**, Billing performs a credit check (public information, credit report, payment history) and party lists with the Compliance Officer (see Code of Ethics and Compliance Manual).C*

*250,000 of annual value, or prepaid multi-year deals, have credit terms approved by the CFO.

Responsibilities

- **Sales and Sales Operations:** accurate, complete bookings; no side arrangements; follow approvals.
 - **Billing and Collections Lead:** correct, timely invoicing; master-data integrity.
 - **Controller:** deal review, revenue accounting.
 - **Legal and Compliance:** contract terms, sanctions and government-customer rules.
-

3.2 Accounts Receivable, Collections and Credit Risk

Purpose. To collect what customers owe promptly, minimize credit losses and measure receivables accurately.

Scope. All customer receivables.

Policy

Collections process (invoices are due per contract, standard net 30):

Days relative to due date	Action	Owner
7 days before due (invoices over \$10,000)	Courtesy reminder with invoice copy and payment link	Billing
Due date +1	First past-due notice by email	Billing
+15	Second notice; phone call to customer's accounts-payable contact	Billing
+30	Escalate to account executive and Customer Success; confirm payment date in writing; check for disputes	Billing and Sales
+45	Controller review; call to the customer's finance leader; consider payment plan	Controller
+60	Formal notice under the contract; service-suspension warning (Legal reviews wording first); credit hold on new orders	Controller and Legal
+90	CFO review; consider suspension, external collections or legal action; assess write-off	CFO

- **Disputes.** Customers may dispute an invoice in good faith. Billing logs the dispute in the billing system, notifies the owner within **1 business day**, and aims to resolve within **10 business days**. Undisputed portions must still be paid on time.
- **Suspension of service** for non-payment happens only as the contract allows, after notice, with Legal and the CFO's approval, and considering effects on customer data and safety (data-return rights per the IT Policy Manual).
- **Payment plans** up to 90 days need the Controller; longer plans need the CFO.
- **Credit limits.** For customers billed in arrears or on extended terms, the Controller sets credit limits based on the credit check; limits are reviewed annually and after payment problems.
- **Customers in financial distress** (bankruptcy, late-payment pattern) are flagged; collection continues but revenue may be constrained under 2.2 if collectibility is no longer probable, and Legal handles any bankruptcy claim filing.

- **Reporting.** Billing publishes the **AR aging report** weekly to the Controller and monthly to the CFO. **Targets:** days sales outstanding (DSO) of **45 days or less** and receivables over 90 days past due under **5%** of total receivables.

Allowance for credit losses (ASC 326). The Controller estimates the allowance quarterly using a **loss-rate matrix** applied to the aging, adjusted for specific customers, current conditions and forecasts. The starting rates below are reviewed at least annually against actual losses:

Aging bucket (days past due)	Starting loss rate
Current	0.5%
1–30	2%
31–60	5%
61–90	15%
91–180	40%
Over 180	100% (unless a specific collection plan is documented)

Specific reserves are recorded for individual customers where collection is doubtful. The CFO approves the allowance each quarter and reports it to the Audit Committee.

Concentrations. The Head of FP&A and Treasury reports any customer above **10%** of revenue or receivables to the CFO and the Board (see 6.5).

Responsibilities

- **Billing and Collections Lead:** run collections, report aging, maintain dispute log.
- **Account executives and Customer Success:** help collect from their accounts; never promise credits or extensions without Finance.
- **Controller and CFO:** credit policy, allowance, escalations.

3.3 Credit Memos, Refunds and Write-Offs

Purpose. To ensure reductions of what customers owe, or returns of customer money, are valid, authorized and recorded properly.

Policy

Credit memos and adjustments (including SLA service credits, billing corrections, goodwill credits, contract cancellations) require a written reason, reference to the contract or ticket, and approval:

Amount	Approval
Up to \$5,000	Controller (or Billing and Collections Lead, up to \$2,500)
5,000.01–50,000	CFO
Over \$50,000	CFO and CEO

- Requests come from the account owner or Support, never approved by the same person who requested them, and never by the person who creates the invoice.
- **SLA credits** follow the SLA in the contract and are computed by Support and Engineering from the monitoring data; Billing applies them.
- **Goodwill credits** are limited to **5% of the customer's annual contract value** (or \$2,500, whichever is smaller) for the Controller to approve; larger ones need the CFO.
- Credit memos are applied to the invoice or future invoices; unused credits are reviewed for expiry as the contract says.

Refunds. Refunds are paid **only to the original payment method or the customer's verified bank account of record** and only after Billing verifies the customer, the amount and the reason. Changes to a customer's bank details before a refund require verification by a call to a number already on file. Refunds follow the same approval limits as credit memos. No refunds in cash.

Overpayments and unapplied cash. Billing contacts the customer within **5 business days** of finding an overpayment and refunds or applies it as the customer requests. Credit balances left unresolved are tracked for unclaimed-property rules (see 4.5 and 10.5).

Write-offs of uncollectible receivables (after collection efforts, bankruptcy or documented uncollectibility):

Amount	Approval
Up to \$5,000	Controller
5, 000.01–25,000	CFO
Over \$25,000	CFO and CEO

- Write-offs are charged against the **allowance**, not directly to expense (unless the allowance is insufficient, in which case the difference is expensed).
- Write-offs and credit memos are reported to the **Audit Committee** quarterly in total and by amount thresholds.
- Written-off receivables are not forgiven. Recoveries are recorded when received, and collection efforts may continue.
- No one who can create invoices, apply cash or manage a customer relationship may approve a write-off or credit for that customer.

3.4 Cash Receipts and Application

Purpose. To ensure all money received is safeguarded, recorded promptly and applied to the right customer accounts.

Policy

- **Payment channels.** Customers pay by **ACH or wire to Simtora's designated bank accounts, or by credit card through the PCI-compliant payment portal.** Checks are accepted only if mailed to the lockbox or address designated by Finance. **Simtora does not accept cash over 1, 000 *
**(see Code of Ethics and Compliance Manual). Where cash exceeding 10,000 is unexpectedly received in one transaction or related transactions, the Controller consults Legal, and IRS Form 8300 is filed within 15 days, as the law requires.*

- **Remittance instructions** on invoices and the payment portal are controlled by Finance. Sales, Customer Success and Support may not give customers different bank details, and Finance never changes Simtora's bank details on invoices without the CFO's written approval and notification of customers using a verified channel.
 - **Employees who receive a customer check, cash or a payment** send it to Finance the **same business day**; checks are deposited within **1 business day**. Employees never keep cash or checks overnight without securing them (safe or locked cabinet).
 - **Bank lockbox and remote deposit** are used where practical; deposit slips or remote-deposit records are kept.
 - **Cash application.** Billing applies receipts to open invoices **within 1 business day** of receipt using remittance advice; unidentified receipts are posted to **unapplied cash** and researched within **5 business days**. The unapplied balance is reviewed weekly and any item over 30 days old is escalated to the Controller.
 - **Payment processor and card payments.** Card processor settlements are reconciled daily or weekly to bank deposits and to the billing system; fees, chargebacks and refunds are recorded properly. Cardholder data is never stored by Simtora outside the PCI-compliant processor (see 11.2).
 - **Bank reconciliations** for the collection accounts are done monthly (see 9.2), with the operating account reviewed weekly by the Controller's delegate.
 - **Lockbox, merchant and payment-processor administrator access** is limited to Finance and reviewed quarterly.
-

Part 4 – Procure-to-Pay and Employee Spending

4.1 Spend Authorization and Commitments

Purpose. To make sure money is committed only for approved needs, at the right price, through the right channel, before it is spent.

Scope. All purchases of goods and services, subscriptions, software, cloud services, consultants and contractors, and all commitments regardless of payment method

(purchase order, card, expense claim, invoice).

The step-by-step sourcing process (requests for proposals, competitive quotes, vendor selection, contract templates, renewals) is set in the **Procurement Policy Manual (SIM-PRC-001)**. That manual sets the sourcing method and process and never weakens the thresholds in this section and in 1.2; this manual continues to set approval authority, accounting and payment controls.

Policy

- **Purchase before you buy.** The requester obtains approval under 1.2 **before** committing. **Invoices without prior approval** are treated as "after-the-fact" and reported monthly by AP to the Controller; repeated or large after-the-fact purchases (over **\$5,000**, or more than 2 per department per quarter) are escalated to the Department Head and CFO.
- **Purchase order (PO) rule.** A PO is required for any purchase over **\$5,000**, for all recurring vendor commitments, for services from consultants and contractors, and for any commitment beyond 12 months. The PO states the vendor, scope, amount, term, budget line and approvers.
- **No PO needed** (but still approved and budgeted) for: payroll and benefits, taxes and government fees, rent and utilities under a lease, insurance premiums, legal and audit fees under an engagement letter, bank fees, travel and employee expenses under Parts 4.6–4.8, and purchases under **\$5,000** made on a corporate card.
- **IT and SaaS purchases.** Any software, SaaS, AI tool, cloud resource, integration or data service requires IT security and privacy review **first, regardless of amount** (IT Policy Manual). IT and Finance keep the SaaS inventory and renewal calendar. Cloud usage above budget alerts is handled under 8.4.
- **Competitive quotes.** For purchases above 25,000 * *, *at least * *three written quotes * *or a documented reason for sole — sourcing (Department Head plus CFO approval)*; above * *100,000, a formal request for proposal unless the CFO waives it. The Procurement Policy Manual (3.1, 3.7) sets the detailed method.
- **Conflicts of interest and gifts.** Anyone involved in selecting or approving a vendor declares any relationship or interest under the Code of Ethics and Compliance Manual. No gifts are accepted from vendors during a tender.

- **Contractors and agency workers** are engaged only through the process in the HR Policy Manual (1.1) and the Procurement Policy Manual (6.3, 6.4), with correct classification (see 5.7).
- **Receipt and acceptance.** The business owner confirms goods or services were received (or that services were performed) in the purchasing system **within 3 business days of delivery** or the end of the service period. Payment does not happen without it.
- **Prepayments and deposits** above **\$10,000** need Controller approval, contract protection (refund rights or security) and are tracked as prepaid assets.
- **Sales-tax exemption and resale certificates** are held and used by Finance only.
- **Emergency purchases** to protect people, security or service (for example, an urgent outage) may be approved by the CISO or Department Head verbally, then documented and approved under 1.2 within **1 business day**.
- **Purchases from employees, relatives or affiliates of employees** need Compliance approval and, over **\$10,000** per year, Audit Committee review (Code of Ethics and Compliance Manual).

Responsibilities

- **Requesters:** plan ahead, obtain approvals, keep records of quotes.
- **Budget owners and Department Heads:** verify need and budget.
- **Finance/AP:** check approvals and coding, monitor after-the-fact purchases.

4.2 Vendor Master and Onboarding

Purpose. To ensure Simtora pays only real, approved vendors, at the right account, and to protect against fictitious vendor and payment-redirection fraud.

Scope. Every supplier, contractor, landlord, agency, consultant, government body and other payee, including one-time payees.

Policy

Onboarding a vendor

1. **Request.** The business owner submits a vendor request in the procurement or AP system with the business purpose and expected spend.
2. **Compliance and risk review.** Depending on spend and risk tier (see Code of Ethics and Compliance Manual: high, medium and low tiers), the vendor completes the vendor questionnaire and any required due diligence: sanctions and restricted-party screening, conflict-of-interest declaration, insurance certificates, data-protection and security review (IT Policy Manual), and adverse-media checks for high-risk vendors. Compliance review is completed **before** commitment.
3. **Tax and payment details.** AP collects a completed **IRS Form W-9** (U.S. vendors) or **W-8BEN / W-8BEN-E / W-8ECI** (foreign vendors) and bank details on the vendor's letterhead or via the vendor portal, and performs an **IRS TIN match** before the first payment where the process allows.
4. **Bank detail verification (callback).** A different AP team member than the one entering the vendor **calls the vendor** on a phone number obtained independently (from the contract, the vendor's official website, or an earlier verified record), and **never** from the email or invoice being verified, to confirm the legal name and bank account. The call, the person spoken to and date are recorded.
5. **Setup and approval.** The vendor is created in the vendor master by AP; the **Controller** (or a delegate not involved in creating the record) approves it.
6. **Related-party and employee check.** The system compares the vendor's address, bank account, phone and tax ID with employee records and the related-party register (Compliance) each night or at least weekly; matches are held for Controller review.

Changes to vendor details (name, address, tax ID, bank account, remittance instructions, contact) follow the same steps 3 to 5: a written request from a known contact, **call-back verification**, second-person approval, and confirmation to the previous contact where possible. **Bank detail changes never take effect on email alone.** Payments to a new or changed bank account made within **30 days** of the change are reviewed by the Controller.

Vendor master hygiene

- Vendors with no activity for **13 months** are deactivated; reactivation follows onboarding steps.
- Duplicate vendors are merged by the Controller.
- **One-time vendors** need the same approvals; they are not allowed for repeated spend.

- The Finance Systems Administrator lists all vendor-master changes in a **monthly report** that the Controller reviews.
- **Segregation:** people who create or change vendors cannot approve invoices or release payments (see Appendix D).

Vendor reviews. High-risk vendors are re-reviewed every 12 months, medium every 24 months, and low at renewal (per the Code of Ethics and Compliance Manual). Critical vendors' SOC 1 or SOC 2 reports and insurance are checked annually.

Responsibilities

- **AP and Expense Lead:** execute steps and keep evidence.
 - **Controller:** approves the master record and reviews changes.
 - **Compliance and IT:** risk, sanctions and security review.
 - **Business owner:** confirms the vendor is needed and monitors performance.
-

4.3 Invoice Processing, Accruals and Prepaids

Purpose. To ensure Simtora pays only valid, approved invoices, exactly once, and records costs in the right period.

Scope. All vendor invoices and credit notes, regardless of amount or channel.

Policy

Receipt.

- Vendors are instructed to send invoices only to `ap@simtora.example` (or the vendor portal). Invoices received by employees are forwarded to AP the same business day. Invoices must show Simtora's legal name, the PO number (where applicable), service period, amount, tax and the vendor's remittance details.
- AP records every invoice in the AP system (**registered on the date received**), captures data (OCR plus human check), and checks it against a **duplicate test** (vendor, invoice number, date, amount).

Matching and approval.

- **Three-way match** for goods and PO-based purchases: PO, receipt or acceptance record, and invoice must agree within a tolerance of **the smaller of 2% or \$100**; differences beyond tolerance are held and resolved by the requester and AP.
- **Two-way match** (PO and invoice, plus approval by the business owner) for services and subscriptions where a receipt is not practical.
- **Non-PO invoices** (allowed categories in 4.1) are approved by the budget owner and, where they exceed the owner's limit under 1.2, by the next level.
- The budget owner approves invoices in the AP system **within 3 business days**. Unapproved invoices are escalated to the Department Head after 5 business days and to the CFO after 10.
- **Coding**. AP verifies the account, department and tax coding before posting. Tax on invoices: AP checks whether sales tax was charged; where a vendor did not charge tax on a taxable purchase, AP accrues and remits **use tax** (see 10.2).
- **Foreign vendors and withholding**. The Tax Manager determines whether U.S. tax withholding or reporting applies before payment.
- **Credits and refunds from vendors** are recorded when received, matched to the original invoice, and never redirected to an individual.

Posting and payment timing.

- Invoices are posted on the **invoice date or the service date period**, whichever is right for the accounting period, with prepaid and accrual treatment as below.
- **Payment terms** are those in the contract; the default is **net 30 from invoice receipt** unless the contract says otherwise. Payment is made in the next weekly payment run before the due date. AP takes **early-payment discounts** when the annualized return exceeds Simtora's investment yield (for example, 2/10 net 30) and cash allows, and does not pay early otherwise.
- **Late payments** are reported weekly to the Controller. Recurring late payments are escalated to the CFO.

Accruals (unrecorded liabilities).

- At each month-end, AP and department owners accrue costs for goods or services received but **not yet invoiced**, above **\$2,500** per item, based on POs, contracts, timesheets, cloud usage data and accepted deliverables. The Controller reviews the accrual schedule and reverses it the following month.

- **Search for unrecorded liabilities:** the AP team reviews invoices received in the first 10 business days after month-end (and for 30 days after year-end) to confirm they were accrued in the right period.
- **Cloud, hosting and API costs** are accrued using usage reports before invoices arrive (see 8.4).

Prepaid expenses.

- Payments for services covering more than one month (annual software, insurance, maintenance, conferences, deposits) above **\$5,000** are recorded as **prepaid assets** and amortized straight-line over the service period.
- Prepaid schedules are reconciled and reviewed monthly.

Payables accounting.

- The AP subledger is reconciled to the General Ledger control account **monthly** (9.2).
- **Vendor statement reconciliation:** the top 25 vendors by spend, and any vendor with a dispute, are reconciled to vendor statements at least **quarterly**.
- An **aged AP listing** is produced monthly and reviewed by the Controller.
- **Debit balances** and stale credits are reviewed quarterly and either refunded, applied or cleared.

Responsibilities

- **AP and Expense Lead:** processing, matching, coding, duplicate checks.
- **Budget owners:** timely receipt confirmation and invoice approval.
- **Controller:** review, exceptions, accruals.

4.4 Payment Methods, Payment Runs and Bank Controls

Purpose. To ensure all payments are authorized, accurate and secure.

Scope. All outgoing payments by ACH, wire, virtual card, check and any other method.

Policy

Preferred methods

1. **ACH** (preferred for vendors and employees).
2. **Virtual cards** for eligible vendors (with rebate, control and tracing benefits).
3. **Wire transfers** for urgent, international, high-value or specifically required payments.
4. **Paper checks** only as an exception approved by the Controller and CFO (for example, a government agency that accepts nothing else).
5. **Cash** is not used for vendor payments; petty cash is limited by 4.9. No payments in cryptocurrency, gift cards or peer-to-peer apps (for example, Venmo or Zelle) to vendors or employees without CFO approval.

Payment runs

- AP prepares a **weekly payment run** (regular schedule: prepared **Wednesday**, approved **Thursday morning**, released **Thursday**; the calendar may be adjusted for holidays), consisting of approved, matched invoices due before the next run.
- **Approval**: the Controller (or delegate) reviews the run report for unusual items (new vendors, changed bank details, one-time payees, over-limit amounts, duplicates) and approves; the CFO approves runs above the thresholds in 1.2. The preparer and the releaser are different people.
- Urgent **off-cycle payments** need a written reason and the same approvals; they are rare. Off-cycle payment volume is reported monthly.

Bank payment controls (see also 6.1)

- **Dual control in the banking portal**: one person creates or uploads, a second person approves and releases. No single person can create and release a payment or change beneficiary details.
- **Payment files** transmitted to banks are protected and cannot be altered after approval; where the bank offers it, the platform integration uses a secure API with approval controls.
- **Positive pay and ACH debit blocks/filters** are enabled on all operating accounts; the bank is instructed to reject unauthorized checks and ACH debits.
- **Wire transfers**. Wire templates for recurring beneficiaries are locked and can be changed only by two authorized people after a call-back. Every **new beneficiary** or **change of bank details** for a wire requires a call-back to the beneficiary using an independent number and approval by the CFO or Controller. Wires over **\$100,000**

need the CFO. Wire instructions received by email, chat or phone are **never** acted upon without call-back.

- **Executive requests.** Any payment request that appears to come from the CEO, CFO or another executive by email, chat or text (including a request for gift cards, an urgent wire or a change of bank account) is treated as suspicious until verified by voice or in person, using a known number. Employees who follow the procedure are supported, and those who receive suspect requests report them to `security@simtora.example` and Finance.
- **Payment holds.** Finance holds any payment that fails sanctions screening, matches a duplicate, or is flagged by the analytics in 1.5, until the Controller clears it.
- **Cut-offs.** Wires and same-day ACH are limited to business days and bank cut-off times; Finance does not process urgent payments outside working hours except with CFO approval.
- **Payment confirmation.** Payment records (remittance advice, bank confirmation) are stored with the invoice. Remittance advice is emailed to the vendor's known contact.
- **Reconciliation.** Payments are reconciled daily by the AP team to bank activity and monthly in the formal bank reconciliation (9.2).
- **Errors.** If a payment goes to the wrong party or amount, AP tells the Controller immediately, and the bank is contacted the same day for a recall; the CFO is told when the amount exceeds \$10,000.

Responsibilities

- **AP:** prepare runs, keep evidence, reconcile.
- **Controller and CFO:** approve, monitor, and control bank access.
- **Treasury:** bank administration (6.1).

4.5 Voided, Lost and Stale Checks; Unclaimed Property

Purpose. To control the small number of paper checks Simtora issues and to comply with state unclaimed-property rules.

Policy

Check stock and issuing.

- Blank check stock is kept **locked**, with a register showing the opening count, checks issued, voided and closing count, **reconciled each time it is used** (and at least monthly) by someone other than the person who prints checks.
- Checks are printed only after approval under 4.4 and carry a **check number** logged in the register and the AP system. Checks are mailed by someone other than the person who prints them, or are sent by tracked courier.
- Use of **positive pay** means checks not on the issue file are rejected by the bank.

Voided and cancelled checks.

- A check found to be wrong before release is marked "**VOID**," kept in numeric sequence with the register, and reversed in the AP system with a narration. Voided checks are retained with the check stock records.

Lost or undelivered checks.

- The payee reports a lost check to AP. AP (1) contacts the bank to place a **stop-payment** (fee charged to Simtora as required), (2) confirms the check has not been cashed, (3) records the stop-payment, and (4) issues a **replacement** after approval by the Controller. The replacement references the original check number. Where the payee prefers, payment by ACH replaces the check.
- The original is reversed in the General Ledger with the narration "lost check – replacement issued in lieu of check no. ____."

Stale checks.

- A check outstanding for **180 days** (about six months) is treated as **stale**. AP contacts the payee at least twice (email and postal address) and places a stop-payment. The liability stays on the books as **unclaimed** or as a **payable** until the payee is paid or the property is reported under state law.
- **Do not write off** stale checks to income. Amounts owed to former employees, vendors and customers that remain unclaimed are reported and remitted as **unclaimed property (escheat)** to the state of the payee's last known address, or to the state of incorporation where none is known, within the state's dormancy period and reporting deadline (see 10.5).

Payroll checks. Uncashed payroll checks and unclaimed wages follow 5.4 and applicable state law.

4.6 Corporate Cards and Virtual Cards

Purpose. To give employees a convenient way to pay for business expenses while protecting the Company from misuse.

Scope. All physical and virtual cards issued in Simtora's name.

Policy

Eligibility and issue

- A card is issued to an employee whose role has a regular business need (frequent travel, purchasing of small items, subscriptions or team expenses), approved by the Department Head and Finance. Contractors and interns do not receive cards unless the CFO approves.
- The cardholder signs the **Cardholder Agreement**, which states that the card is for business use only, that the cardholder is responsible for reporting lost cards, and that personal charges must be repaid.
- **Default limits** are set by role and reviewed annually:

Cardholder	Monthly limit	Single transaction limit
Standard employee	\$3,000	\$1,500
Manager or team lead	\$10,000	\$5,000
Department Head	\$25,000	\$10,000
Executive Team	Set by CFO	Set by CFO

Higher temporary limits (for example, for a conference or event) may be approved by Finance for a specified period.

Use

- Cards may be used for **business travel** (per 4.8), **meals and hospitality** within limits and with the required details (4.7), **software and subscriptions** approved under IT and 1.2, and **small purchases** under **\$5,000** that follow purchasing rules. **Cards are not used** for personal purchases, cash advances (blocked), payments that require a PO, payments to individuals as compensation, gifts to government officials, or split purchases to avoid limits.
- **Blocked merchant categories:** gambling, adult entertainment, cash and ATM, jewelry, and other categories that Finance and Compliance list, unless the Controller approves a specific business need.
- **Personal charges by mistake** must be **reported to Finance and repaid within 30 days** (HR Policy Manual 1.6). If not repaid, Finance may recover the amount by payroll deduction **only where the law permits and with the employee's written authorization**, or otherwise seek repayment; card use may be suspended and corrective action may follow for repeated or deliberate misuse.
- **Virtual cards** are issued by Finance for individual vendors or subscriptions with locked merchant, amount and validity period, so that IT and Finance can monitor SaaS spend and stop unwanted renewals. Each subscription virtual card has a named owner.

Substantiation and review

- The cardholder submits every transaction in the expense system with a **receipt** (for amounts over **\$25**), business purpose and coding **within 30 days** (HR Policy Manual 1.6); Finance expects most transactions within 5 business days.
- **Escalation:** items not substantiated at **30 days** trigger a reminder to the cardholder and manager; at **45 days** the card is **suspended** until resolved; at **60 days** the amount is treated as a personal charge and recovered as above.
- Managers review and approve their team's card transactions within **5 business days** of submission, and no one approves their own card statement (their manager or the CFO does).
- **Finance audit:** AP reviews **100% of transactions automatically** for policy flags, samples at least **10% of reports monthly**, and reviews every report with a transaction over **\$1,000**. Findings are reported monthly to the Controller and quarterly to the CFO.

Lost, stolen or compromised cards are reported **immediately** to the card issuer (number on the card) and to `ap@simtora.example` ; Finance cancels and reissues the card. Suspected fraud is reported the same day (see 1.5).

Termination and transfers. The card is cancelled at or before the last day of employment; outstanding transactions are settled before final pay as far as law permits, and card returns are part of offboarding (HR Policy Manual 9.4).

Program governance. Finance reconciles the card statement to the General Ledger monthly, pays the balance in full and on time each month, and reviews the card program (limits, users, rebates, controls) annually.

4.7 Expense Reports and Reimbursement

Purpose. To ensure employees are reimbursed promptly for reasonable, necessary and approved business expenses, and that reimbursements meet IRS accountable-plan rules.

Scope. All business expenses that an employee pays personally or with a Company card (see HR Policy Manual 1.6 and 8.1 for the employee-facing rules).

Policy

Submission and timing

- Submit the expense report in the expense system **within 30 days** of the expense, with itemized receipts for anything over **\$25** and a business purpose and coding for every item.
- Reports are approved by the manager, then reviewed by Finance. **Approved reimbursements are paid within 10 business days**, by direct deposit in the next payroll or separate ACH payment.
- **Accountable plan.** Simtora reimburses under an IRS **accountable plan**: expenses must have a business connection, be adequately substantiated, and any excess advance must be returned. Simtora's rules are stricter than the IRS safe harbors (substantiate within 60 days, return excess advances within 120 days). Amounts not substantiated or not returned within the Company's time limits become **taxable wages** through payroll.

Approval

- **No self-approval.** Employees do not approve their own expenses, or those of anyone more senior. An executive's expenses are approved by the CFO (the CEO's by the Board Chair or Audit Committee chair, and the CFO's by the CEO).

- Managers **review receipts and purpose** and confirm reasonableness. Finance may reject or query any item.
- **Expense limits and the amounts that need pre-approval** follow the HR Policy Manual and 4.8. Any single expense over **\$1,000** not covered by a specific approved budget or PO needs Department Head approval.

Documentation requirements

- **Receipts.** Itemized receipts (not just card slips) for anything over \$25; lost receipts need a signed missing-receipt statement, allowed at most twice a year per employee unless the CFO approves.
- **Meals.** Record **attendees' names and organization**, and the business purpose. Team meals show the number of attendees. Single meals over **\$50** per person need itemized receipts (HR Policy Manual 8.1).
- **Gifts and hospitality** to customers, partners, officials or vendors record the **recipient, their organization, the purpose, the amount and the approval** required by the Code of Ethics and Compliance Manual (see 4.10).
- **Mileage** in a personal vehicle is reimbursed at the current **IRS standard business mileage rate**, with date, purpose, start and end points and miles. Commuting is not reimbursable.
- **Foreign-currency** expenses are converted per 2.5.
- **Alcohol** is reimbursed only as part of a documented client entertainment meal, in moderation (HR Policy Manual 8.1).
- **Tips** are reimbursable up to customary amounts (generally up to 20%).
- **Home-office allowance, connectivity stipend and other HR-approved payments** are paid through payroll or the expense system as HR directs; they are taxable where the law requires (HR Policy Manual 7.4).

Not reimbursable (unless the CFO approves in advance in writing): personal expenses and family or companion travel; fines, penalties and parking or traffic violations; personal entertainment; in-flight or in-room extras, minibar, spa or movies; luggage insurance; loyalty-program fees; personal grooming; child or pet care; donations or political contributions (see Code of Ethics and Compliance Manual); cash advances or loans to others; gifts of cash or gift cards; excessive tips; late fees resulting from the employee's delay; and any spending prohibited by the Code.

State law. Where state law requires reimbursement of necessary business expenses (for example, California), Simtora reimburses them if they were reasonable and necessary, regardless of approval status.

Audit and consequences

- Finance reviews every report against policy rules and reports, samples reports for full review, and follows up on patterns (repeated late submission, weekend or holiday expenses, round numbers, split receipts).
- **False, inflated or duplicated claims, and altered receipts** are serious misconduct (see HR Policy Manual 2.3) and are reported to the CFO and, where fraud is suspected, to the Compliance Officer.
- **Overpayments** are corrected by repayment or an authorized offset, in line with state law.

Responsibilities

- **Employees:** honest, timely, documented claims.
 - **Managers:** careful review; not approving without seeing receipts.
 - **Finance:** policy check, payment within 10 business days, audit.
-

4.8 Business Travel: Finance Rules

Purpose. To administer business travel costs, and to align the limits and controls Finance applies with the HR Policy Manual (8.1), which sets the travel policy itself.

Policy

- **Approval and booking** follow the HR Policy Manual: a **travel request number** is needed for every trip; travel is booked through the **Company travel platform or approved travel agent** (domestic 14 days ahead, international 21 days ahead where practicable). Finance approves international travel with the Department Head.
- **Payment.** Airfare, lodging and rental cars are paid through the **central travel account or the Company card**. Employees do not pay for air or hotel personally except in an emergency, and if they do, they are reimbursed as in 4.7.

- **Class of travel:** as in HR Policy Manual 8.1 (economy for flights under 6 hours; business class for the Executive Team on flights of 6 hours or longer; other exceptions need CEO or CFO approval).
- **Lodging cap.** Finance publishes **nightly lodging caps** by city, set at the **GSA lodging rate plus up to 25% for high-cost cities** (as HR Policy Manual 8.1 describes), updated within **15 days** after GSA publishes new rates each October 1 and whenever the GSA revises them. Exceptions are approved by the Department Head before booking; over 25% needs the CFO. Employees staying with friends or family may claim **\$50 per night** without receipts.
- **Meals and incidentals** are reimbursed up to the **GSA per diem** for the destination (U.S. State Department rates abroad), with receipts for single meals over **\$50** (HR Policy Manual 8.1). On the first and last day of travel the per diem is paid at **75%**. Meals provided by hosts or included in a hotel or conference are deducted from the per diem. Finance may reimburse actual documented meal costs instead of per diem where the employee elects actual-cost reporting and stays within the per diem total.
- **Mileage** at the IRS standard business rate (4.7).
- **Travel advances** (for international or high-cost trips) follow 4.9 and are **settled within 10 days of return** (HR Policy Manual 8.1).
- **Client entertainment** during travel follows 4.10 and needs prior approval, attendee names and business purpose.
- **Extra personal days or companions** are at the employee's cost; any additional cost to Simtora must be repaid.
- **Duty of care.** Travel booked through the platform is tracked for safety; Finance provides reports to the Head of IT / CISO and HR on request for emergencies.
- **Unused tickets and credits** are tracked by Finance and used by the traveler or another employee within airline rules; unused credits that expire are reported to the Controller.
- **Foreign travel and taxes.** Travel abroad by non-exempt employees follows HR Policy Manual 8.1 for pay; Finance and Tax review any extended stays for tax implications.
- **Group events and offsites** (over 10 people or over \$10,000 in total) need a budget approved by the Department Head and Finance, and any vendor contract signed under 1.2.
- **Conference and training fees** are approved by the manager within the department budget and paid by card or PO; the **HR learning budget** (*1,500 per year plus 40 hours paid learning time, with a repayment agreement for program* 3,000) is tracked by HR and Finance (HR Policy Manual 7.1).

4.9 Cash Advances and Petty Cash

Purpose. To control the small amounts of cash and short-term advances that Simtora still needs, and to make sure they are accounted for promptly.

Policy

Cash advances (travel and special assignments)

- Simtora **prefers the Company card** and expense reimbursement to cash advances. A **travel advance** (HR Policy Manual 8.1) is available on request for **international trips or high-expense trips**.
- **Approval:** manager for up to 2,500 * *; *Department Head for up to * *10,000*; CFO above that. The request states the purpose, amount and date needed.
- **Payment** is by ACH to the employee's payroll bank account. Cash is not handed out.
- **Settlement:** the employee submits a complete expense report **within 10 days of returning** from the trip (or, for a non-travel assignment, within 10 days of completing it) with receipts. Any unspent amount is returned by ACH or check within the same period. Employees with an **unsettled advance** cannot receive a further advance.
- Only **one advance may be outstanding** for an employee at a time.
- **Unretired advances.** Finance sends reminders at 10, 20 and 30 days; the balance is treated as taxable wages if not retired within the time allowed by the IRS accountable-plan rules. Recovery through payroll happens **only where lawful and with the employee's written authorization**, as with hardship advances in 5.6; otherwise Simtora seeks repayment directly. Simtora **does not deduct unretired advances from pay without authorization**.
- Finance sends the Controller a **monthly list of unsettled advances** by age; anything above 60 days is escalated to the CFO and HR.

Petty cash

- **Default:** Simtora aims to eliminate physical petty cash. Small purchases are made with cards (including virtual cards) or through the expense system.

- **Where allowed:** an **office float of up to \$500** may be held by a designated **custodian** at a staffed office, approved by the CFO in writing and named in the custodian's appointment letter. The float is kept in a **locked safe or cabinet**, access limited to the custodian and a named backup.
- **Uses:** small, urgent business expenses only, **up to 75 per transaction** *
 *. *Each payment needs a* * *numbered voucher* *
 *, *the payee's or employee's signature, a business purpose, coding and a receipt.* *
 * *Splitting a purchase to stay under the 75 limit is a violation.*
- **Prohibited:** fixed assets or software; payments to regular suppliers who should be paid through AP; medical costs; loans, advances, personal checks or IOUs held in the box; cashing personal checks; gift cards; any payment to Company officers or the custodian themselves.
- **Replenishment:** the custodian submits vouchers with receipts to AP when the float is **down to 30%** or monthly, whichever is sooner; AP reviews, approves and reimburses to restore the fixed float by ACH.
- **Cash counts:** the Controller's delegate performs an **unannounced count at least quarterly (4 per year)**, and the Controller at least **twice a year**; the counts verify that cash plus vouchers equals the authorized float and vouchers are supported. Any shortage is investigated and reported to the CFO; unexplained shortages over **\$50** or repeated IOUs lead to corrective action (HR Policy Manual 2.3) and float withdrawal.
- **Changes of custodian** need a joint count signed by the outgoing and incoming custodians and the Controller's delegate.
- **Accounting:** funding is Dr Petty Cash and Cr Bank; replenishment is Dr Expenses and Cr Bank (see Appendix F).
- **Facilities** may hold petty cash for building supplies in the same manner (see Facilities and Office Administration Manual, SIM-FAC-001, 1.4).

4.10 Gifts, Hospitality, Donations and Sponsorships: Finance Controls

Purpose. To give effect to the limits in the Code of Ethics and Compliance Manual through accounting and payment controls.

Policy

- **Limits** are set by the Code of Ethics and Compliance Manual: gifts up to 50 * **per source per year need no approval; **50.01–250 ** **need the Department Head (logged); over **250* the Department Head and Compliance Officer; over 1,000 * **also the General Counsel; * * meals up to 100* per person (4 per source per year); **entertainment up to \$150** (2 per source per year); **government officials: any value needs Compliance approval; nothing during a tender.**
- **Evidence.** Every expense for gifts, meals or entertainment for a non-employee records: **recipient's name, organization, title, purpose, amount, date, approver and (for government officials) Compliance approval.** Expense reports that lack these are rejected.
- **Accounting.** These expenses are coded to dedicated accounts (for example, "Customer gifts and hospitality"), so that Compliance can review them quarterly. Finance provides the report to the Compliance Officer each quarter.
- **Gift cards and cash equivalents** to non-employees are not reimbursable; gift cards to employees are taxable and go through payroll.
- **Facilitation payments** are prohibited (only a health-and-safety exception, reported within 24 hours).
- **Charitable donations.** The annual charitable budget is set by the CEO with the CFO. Up to \$5,000 is approved by the Department Head with a Compliance check; above that the CEO and General Counsel; **any donation linked to a customer or official needs the Compliance Officer's approval.** Payments are made only to verified charities (IRS Tax-Exempt Organization check) by check or ACH to the charity; never to individuals.
- **Sponsorships** (events, teams, associations) follow the same approval path plus a written agreement describing benefits, reviewed by Legal.
- **Political contributions.** Simtora makes **none** unless the CEO and General Counsel approve, and the Board is informed in advance (Code of Ethics and Compliance Manual). Finance will not reimburse personal political contributions.
- **Commissions, success fees and agent payments** to third parties are documented, benchmarked and approved by the Department Head, Compliance Officer and CFO before any payment (Code of Ethics and Compliance Manual).

- **Related-party payments** over \$10,000 per year are checked by Finance against the related-party register and reviewed by the Audit Committee.
 - **Cash payments** are not made; **cash received** over \$1,000 is refused (3.4).
-

Part 5 – Payroll and People Costs

5.1 Payroll Governance and Segregation of Duties

Purpose. To ensure only authorized employees are paid, accurately and on time, and that pay data is protected.

Scope. Payroll for all U.S. employees, including hourly, salaried, commissioned and equity-related pay events. Payroll in the other five countries follows these controls as adapted in SIM-GLB-001, Part 3.6. Employee rights to pay, deductions and overtime are set in the **HR Policy Manual (1.5)**. This part sets the finance controls.

Policy

- **Split of responsibility.**
 - **HR (People Operations)** owns **employee master data**: hiring, pay rate, status (exempt or non-exempt), tax and benefit elections, leave, terminations. HR is the only team that adds or changes employees and pay rates in the HR system.
 - **Payroll** (with the payroll provider) processes payroll from HR data, calculates and remits taxes, reconciles and reports.
 - **Controller and CFO** review, approve and release the funding and pay.
 - **Internal audit or an independent reviewer** tests the payroll process annually.
- **Segregation.** No one can add or change an employee's pay **and** approve or process the payroll for that employee. Payroll staff cannot change pay rates or bank details in the HR system, and HR staff cannot release payroll funds.
- **Confidentiality.** Payroll data is Confidential or Restricted under the IT Policy Manual. Access is limited to HR, Payroll, the CFO, the Controller, internal audit and, when needed, the CEO. Employees who have access may not disclose others' pay, except as the law allows (HR Policy Manual 1.5).

- **Payroll provider.** The payroll provider's SOC 1 report is reviewed annually (1.3). Any change of provider or bank details for payroll funding requires CFO approval and a documented transition plan.
 - **Payroll systems access** is protected by MFA; user reviews are done quarterly (1.4).
 - **Deductions.** Payroll makes only deductions required by law (taxes, garnishments, court-ordered support) or **voluntarily authorized by the employee in writing** (benefits, 401(k), commuter benefits, repayment agreements). Simtora **does not deduct for loss of equipment, damage, errors, or unretired advances** without a separate written authorization that state law allows, and never below minimum wage or in a way that reduces an exempt employee's salary in violation of the FLSA (HR Policy Manual 1.5).
 - **Overpayments** are handled per HR Policy Manual 1.5: the employee is told in writing and repayment is arranged in a manner state law permits, usually on an agreed schedule.
 - **Records.** Payroll records are retained for **7 years** (Code of Ethics and Compliance Manual), and never less than the legal minimums (for example, 3 years under the FLSA and 4 years for employment taxes).
-

5.2 Payroll Calendar and Processing Steps

Purpose. To make sure every payroll follows the same accurate, controlled process.

Policy

Employees are paid **bi-weekly** (26 pay dates a year) by **direct deposit on Friday**; if Friday is a bank holiday, pay is issued the prior business day (HR Policy Manual 1.5). Payroll publishes the payroll calendar on the HR intranet each **January** and Finance keeps it in the Finance calendar (Appendix E).

Standard pay-week timeline (a Friday pay date; times are for the Company's headquarters):

When	Step	Owner
Friday before pay week	Cut-off for direct-deposit and bank changes (at least 7 days before pay day, HR Policy Manual 1.5)	HR / Payroll
Monday, 5:00 p.m.	Cut-off for changes in HR data, new hires, terminations, pay changes, bonuses, commissions, expense-related payroll items and time approvals	HR, managers, Payroll
Tuesday morning	Payroll runs a preliminary register and the variance report (see below)	Payroll
Tuesday	HR confirms all changes in the register match approved forms; Payroll resolves exceptions	HR and Payroll
Wednesday, noon	Controller reviews and approves the register; CFO (or delegate) approves release	Controller, CFO
Wednesday	Funding of payroll bank account, and tax and benefit funding as the provider requires (two banking days before pay date for direct deposit)	Treasury
Thursday	Direct-deposit file transmitted; pay statements produced	Payroll provider
Friday	Pay date ; funds available	–
Following Monday	Payroll posts the payroll journal to the General Ledger (or earlier through integration); tax liability reconciled	Payroll and Controller

Preparation and review

- **Time and attendance.** Non-exempt employees record all time worked; managers approve timesheets by the cut-off (HR Policy Manual 5.1). All hours worked are paid, including unapproved overtime.
- **Variance report.** The preliminary register is compared with the previous payroll and shows: new hires and terminations; changes in pay rate or bank details; net-pay changes above **10%** (or more than **\$1,000**) for any individual; total payroll change above **5%**; negative or zero net pays; duplicate bank accounts or Social Security

numbers; and pay over an employee's normal range. Payroll investigates each item and documents it.

- **Approval evidence.** The register is signed (or approved electronically) by the Payroll Manager as preparer, the Controller as reviewer and the CFO or delegate as approver. Approvers cannot approve a register that includes their own pay changes; another approver reviews those lines.
- **Distribution.** Pay statements are made available in the payroll portal. Physical checks are issued only for exceptions (for example, a state that requires them or an employee without direct deposit), on the same controls as 4.5.
- **Payroll funding** is by ACH debit initiated by the payroll provider on an **account with a debit block** (only the provider is allowed to debit), or by wire from Treasury approved under 4.4. No off-system payments of salary.
- **Journals and accounting.** Payroll posts salaries, taxes, benefits and deductions by department and account; employer taxes and benefits are accrued in the same period as wages.

After payroll.

- **Reconciliations** performed each cycle: (1) payroll register to bank funding, (2) register to General Ledger, (3) tax liabilities to provider filings (monthly and quarterly), (4) payroll clearing to zero. Differences are corrected in the next cycle, and unexplained ones escalated to the Controller.
- **Errors reported by employees** within **30 days** are corrected promptly (5.3); the HR Policy Manual 1.5 gives employees the right to report errors.
- **Unclaimed pay:** if a direct deposit is returned, Payroll contacts the employee within **2 business days** and re-pays by another method; unpaid amounts follow state unclaimed-property rules (10.5).

5.3 Payroll Changes, Off-Cycle Payments and Corrections

Purpose. To control anything that changes pay outside the standard cycle.

Policy

- **Changes to pay data** (rate, bonus, allowances, stipends, commissions, deductions, tax status, bank details) are made only by HR (or through an HR-approved integration) on a documented, approved request. Employees change their own bank, address and tax-withholding details through the HR system (with MFA), and the system **emails and texts the employee** when a bank change is made; **the first payment to a new bank account** is flagged in the variance report.
- **Bank-detail change fraud.** HR and Payroll never change bank details on the basis of an email or phone request. If an employee cannot use the system, HR verifies identity by **video call or in person** and a manager confirms.
- **Off-cycle payroll** (special run between regular dates) is allowed only to correct an error, pay a final wage where law requires payment before the next regular date, or pay a hardship item that the CFO approves. Every off-cycle run requires: a written reason, HR confirmation, Controller approval, CFO approval if over **\$25,000** in total, and the same segregation as a regular run.
- **Underpayments.** An underpayment is corrected **in the next payroll cycle or sooner** (HR Policy Manual 1.5). If an underpayment exceeds **\$500** or causes hardship, or state law requires faster payment, Payroll issues an **off-cycle payment within 3 business days** of confirmation.
- **Final pay** follows state timing rules (for example, immediately on termination or by the next payday, as the state requires) and includes accrued PTO where required. HR notifies Payroll of every termination **on or before the last day**; involuntary terminations are notified the same day, and system access and card access are ended under 1.4 and 4.6.
- **Retroactive changes** (for example, a raise applied to earlier pay periods) are paid with correct taxes and are reported to the Controller if over **\$10,000** in total for a run.
- **Voiding and reissuing pay** follows 4.5; any voided direct deposit is reported to the Controller.
- **Wage garnishments and support orders** are processed as required (5.4); Payroll never discloses or discusses an employee's garnishment beyond those who need to know.
- **Equity events** (option exercises, RSU vesting) are set up in payroll in the pay period of the taxable event, with tax withholding determined by Payroll and Tax (2.7).

5.4 Payroll Taxes, Benefit Remittances and Garnishments

Purpose. To ensure Simtora withholds, reports and pays over payroll-related amounts correctly and on time.

Policy

- **Withholding and payment.** Payroll withholds federal, state and local income tax, and the employee's share of FICA (Social Security and Medicare, including Additional Medicare tax where it applies), and pays the employer's share of FICA and unemployment taxes. Federal deposits are made under the IRS deposit schedule (monthly or semi-weekly, as determined by the lookback rule, and the one-day rule when a liability reaches \$100,000), and state deposits under each state's rules. The payroll provider files and pays on Simtora's behalf; Payroll monitors that every deposit and filing is completed and confirmed.
- **New states.** Before an employee begins working in a new state or locality (including a remote hire), HR notifies Payroll and Tax at least **30 days** in advance (or as early as possible). Payroll and Tax register for withholding, unemployment insurance and, where necessary, paid family leave and other state programs **before the first payday**, and HR confirms local leave and wage law requirements (HR Policy Manual).
- **Reporting.** The payroll provider files **Forms 941** (quarterly) and **940** (annual), state and local returns, and **Forms W-2/W-3** by **January 31**. The Payroll Manager reconciles Forms 941 and W-2 totals to the General Ledger each quarter and at year-end, and the Controller reviews the reconciliation before filing.
- **Penalties.** Any late deposit, filing error or notice from a tax authority is reported to the Controller within **1 business day**, and Tax responds by the notice deadline.
- **Benefit remittances.** Employee deferrals and loan repayments to the **401(k) plan** are remitted **as soon as administratively feasible and in every case within 5 business days of the pay date**. Health and welfare premiums, HSA/FSA contributions, commuter benefits and other withholdings are remitted according to vendor and legal deadlines. Payroll reconciles each remittance to the payroll register.
- **Garnishments, levies and child-support orders** are honored strictly by the order and law (including limits on the amount withheld). Payroll processes them within the first payroll after receipt (or the time the order states), remits payments by the due date, and gives the employee notice as required. Any questions go to Legal.
- **Taxable benefits and imputed income** (for example, group-term life over the threshold, taxable relocation, gift cards, awards, stipends) are reported by HR to Payroll and taxed correctly.

- **Workers' compensation** premiums are based on payroll audit information provided by Payroll to the insurer each year; classification of roles is checked with the broker (6.6).
 - **Unemployment claims** are handled by HR with Payroll's records; responses are made by state deadlines.
 - **Payroll tax accounts** are reconciled at least quarterly; balances are cleared or explained.
-

5.5 Bonuses, Commissions, Recognition Awards and Relocation

Purpose. To fund and control variable pay and awards described in the HR Policy Manual.

Policy

Annual bonus. The bonus plan is discretionary and set out in the plan document (HR Policy Manual 1.5). Finance:

- Sets the **bonus pool** in the annual budget and **accrues monthly** on expected payout (2.8).
- Confirms with the CFO and CEO **before the pool is released** that company performance conditions are met, and reports the payout to the Compensation Committee.
- Pays bonuses through payroll at the supplemental withholding rate or as the tax rules require.

Sales commissions and incentives.

- Each sales incentive plan is **written and signed by the employee**, approved by the Head of Sales, CFO, CPO and (for the plan design) the CEO. Changes take effect only prospectively.
- **Commissions** are calculated by Sales Operations from **booked and, where the plan says, collected** revenue; Finance verifies the calculation to the General Ledger, and the Controller reviews any commission above **\$25,000** for an individual per quarter, or any exception or dispute.

- No commission is paid on deals that are later found to include a side letter or a non-approved term.
- Commissions are capitalized and amortized per 2.3, and earned commissions are paid on the next regular payroll after the plan's payment date.

Recognition awards (HR Policy Manual 7.3):

- **Recognition budget.** Finance sets a **recognition budget equal to 0.5% of budgeted base payroll**, allocated to departments in the annual budget and tracked by HR.
- **Peer recognition points** are funded from the platform budget and redeemed for small rewards.
- **Spot awards.** A manager may grant a spot award of up to **250 * *; **250.01–1, 000 * **needstheDepartmentHead*; over * *1,000** needs the Chief People Officer and the CFO. Cash and cash-equivalent awards (including gift cards) are **taxable wages** and are paid through payroll; non-cash awards are taxed as the tax rules require.
- **Employee of the Quarter and Employee of the Year** awards are approved by the selection panel (HR Policy Manual 7.3). The **Employee of the Year cash award is one month's base salary, capped at the amount the Compensation Committee sets each year**, subject to withholding; Finance confirms the cap and funding in the year's budget.
- **Service awards** (1, 3, 5, 10, 15 years) are budgeted by HR with Finance.

Relocation (HR Policy Manual 7.6):

- Finance holds the approved **relocation estimate form**, pays approved expenses against receipts (submitted within **60 days**), records them as taxable wages (including any approved gross-up), and tracks **12-month repayment agreements**, notifying HR and Payroll of any repayment due. Recovery from pay only where lawful and authorized (5.1).

Home-office and connectivity stipends (HR Policy Manual 7.4): The one-time **500 * *allowance*(upto * *1,000** fully remote) and **\$75 monthly** connectivity stipend are paid through payroll, taxable where required; **in states that require full reimbursement of necessary costs** (for example, California), Simtora reimburses the actual necessary cost regardless of the stipend.

5.6 Hardship Advances and the Pay-Equity Budget

Purpose. To fund and administer the pay advance program and the annual pay-equity adjustment described in the HR Policy Manual (7.5 and 1.5).

Policy

Hardship pay advance (HR Policy Manual 7.5):

- Eligibility, approval by the manager and HR, 5 business days' notice where possible, one advance per year and repayment agreement are as HR specifies.
- **Finance limits.** The maximum advance is the **lesser of one month's net pay or 5,000** * *.Total* * **outstanding advances across the Company may not exceed 50,000* at any time without CFO approval.
- **Process.** HR sends Finance the signed advance form and repayment agreement. The Controller confirms the payroll deductions comply with state law and the FLSA (never below minimum wage; never reducing an exempt employee's predetermined salary contrary to law) and that the total cap is not exceeded. Payment is by direct deposit through payroll or an approved off-cycle run.
- **Repayment.** In **up to 6 equal installments** through payroll deduction authorized in writing; longer schedules in special cases need the CFO and CPO. On separation, the balance is recovered from final pay only if state law allows and otherwise under the agreement.
- **Accounting.** Advances are recorded as a **current asset (employee advances)**, not expense. Finance reports outstanding balances and aging monthly to the Controller and CPO. No interest is charged.

Pay-equity budget.

- The annual budget includes a **pay-equity adjustment reserve of at least 0.25% of total base payroll**, released by the Chief People Officer with CFO approval after the **annual pay-equity analysis** (HR Policy Manual 1.5) identifies unjustified differences. Adjustments are effective as of the date HR determines, in the next payroll cycle after approval, with retroactive pay where the CPO decides that is appropriate.

- **Merit and market adjustments** budgets are set in the annual budget cycle with the CPO, the Compensation Committee and the Head of FP&A and Treasury (8.5).
-

5.7 Contractors and Information Reporting

Purpose. To ensure contractors are paid properly, classified correctly and reported to the IRS.

Policy

- **Classification.** HR and Legal determine whether a worker is an employee or an independent contractor using the federal and state tests (including the ABC test in states that apply it) **before** work starts. Misclassification creates tax, wage and benefits liabilities. Finance will not pay an individual as a contractor without HR's classification sign-off.
- **Agreement and onboarding.** Contractors sign an agreement approved by Legal and complete vendor onboarding (4.2, including IRS Form W-9, or Form W-8 for foreign individuals). Individuals are paid through AP on submitted invoices approved by the budget owner, not through payroll or expense reimbursement.
- **Backup withholding.** Where a payee does not provide a valid TIN, or the IRS notifies Simtora to do so, AP withholds **24% backup withholding** and reports it.
- **Information reporting.** AP prepares **Forms 1099-NEC and 1099-MISC by January 31** (payments at or above the IRS filing threshold in effect for the calendar year; **for payments made in 2026 the threshold for nonemployee compensation is \$2,000**; Tax confirms the threshold each year), and Form 1042-S for foreign payees where applicable. Payments by card or third-party network are reported by the processor and excluded from Simtora's 1099s.
- **Contractor access and tools** are governed by the IT Policy Manual; the contractor must not be given access, equipment or benefits that would blur classification without HR and Legal review.
- **Staffing agencies** are paid on approved invoices under a master agreement with insurance, background check and conflict-of-interest terms per the Procurement Policy Manual (6.4).

- **Contractor time limits and conversion.** Long-term, full-time contractors are reviewed by HR every 6 months for conversion or reclassification.
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Part 6 – Treasury, Banking and Insurance

6.1 Banking and Account Management

Purpose. To ensure Simtora's bank accounts, signatories and online access are controlled, documented and protected.

Scope. All bank, brokerage, payment-processor, merchant and money-market accounts in Simtora's name.

Policy

- **Opening and closing.** No account is opened, closed or has its purpose or signatories changed without approval by the **CFO and CEO** and a **Board resolution** or delegated authority. Legal keeps the resolution. Employees may not open accounts for Simtora business in their own names, and no one may open an account in Simtora's name at a payment app, marketplace or processor without Finance approval.
- **Bank account inventory.** The Head of FP&A and Treasury keeps a register of every account: bank, entity, purpose, account type, signatories, portal administrators, balances, and the reconciler. The register is reviewed **quarterly** and the Controller confirms it matches the accounts on the General Ledger and any bank confirmations obtained by the auditors.
- **Account structure.** Simtora maintains (at minimum) an **operating account**, a **payroll account with ACH debit block**, a **collections (receipts) account or lockbox**, a **disbursement account** with positive pay, and one or more **investment or sweep accounts**. Customer funds (if ever held) go in a separate account.
- **Concentration of risk.** Balances are spread across **at least two** financial institutions, each a U.S.-regulated institution the CFO has approved. The **FDIC insures \$250,000 per depositor, per bank, per ownership category**; balances above that are placed in insured-cash-sweep programs, government money-market funds or Treasury

securities under 6.3, or in a second bank, so that uninsured exposure to any single bank stays within a limit the CFO sets and the Board approves.

- **Signatories and portal users.**
 - Authorized signatories and online-banking users are the **CFO, CEO, Controller, Head of FP&A and Treasury** and the AP and Payroll roles who need access, each with a defined role: initiator, approver, viewer, administrator.
 - **Removal on departure is same-day.** HR notifies Finance of terminations and role changes, and Finance removes access and updates the bank's signatory forms within **1 business day** (immediately for involuntary departures).
 - **Bank portal access reviews** are performed **quarterly** and after any leadership change; results are kept.
 - **Two administrators** are named; a single person cannot both administer users and release payments.
 - **Authentication:** phishing-resistant MFA (security keys or passkeys) for all banking-portal users; shared credentials are not permitted; access only from managed devices (IT Policy Manual).
 - **Alerts.** The bank sends alerts to at least two people for new users, changes to limits, new beneficiaries, wires and large debits.
- **Bank mandates and limits.** Payment limits per user and per day are set by the CFO within 1.2, reviewed **semi-annually**, and kept in the bank's records and the account register.
- **Bank fees and services** are reviewed annually (analysis statements, fee schedule, service quality). Changes of primary bank need CEO and Board approval.
- **Bank confirmations and correspondence** from the auditors or the bank go to the CFO or Controller, never to the person who reconciles the account.
- **Daily cash position.** Treasury reviews balances and activity on all accounts each business day and investigates any unusual transaction (large, unexpected, unauthorized) **the same day**.
- **Bank reconciliations** (9.2) are prepared monthly by a person who does not initiate or approve payments and are reviewed by the Controller. **The operating account** is reconciled weekly in summary form.
- **Merchant and payment-processor accounts** follow the same controls, plus PCI requirements (11.2).

- **Safe deposit boxes, corporate seals and blank cheque stock** are kept by Finance with dual-control access.
-

6.2 Cash Management, Forecasting and Liquidity

Purpose. To make sure Simtora always has cash to meet its obligations and invests idle cash safely.

Policy

- **Forecasts.** Treasury prepares a **13-week rolling cash forecast**, updated **weekly**, and a **12-month cash forecast** updated **monthly** with the budget or reforecast. The forecast shows collections, payroll, taxes, vendor payments, capital spending, debt service and expected financing. Forecast accuracy is tracked.
 - **Liquidity targets.** Simtora aims to maintain cash and cash equivalents plus investments equal to at least **9 months** of forecast operating cash burn (or **6 months** of budgeted operating expenses, if it is cash-flow positive). The CFO reports to the CEO **immediately** and the Board at its next meeting if the forecast falls below **6 months**, together with an action plan (cost actions, financing, collections).
 - **Working capital.** Billing and Collections aims for **DSO of 45 days or less** (3.2); AP pays on terms without paying early unless discounts justify it (4.3); annual prepayment by customers is preferred where commercially practical.
 - **Payment scheduling.** Payments are timed for the due date; payroll, taxes and debt service are given priority.
 - **Intercompany and inter-account transfers** between Simtora accounts are approved under the payment rules in 4.4, and confirmed in the General Ledger the same day.
 - **Bank sweep or investment instructions** follow 6.3.
 - **Weekly cash meeting.** The CFO, Controller and Head of FP&A and Treasury review the cash forecast, aging, upcoming large payments and any risks.
 - **Contingency.** Treasury keeps a documented **liquidity contingency plan**: undrawn credit facilities (if any), discretionary spend that could be paused, collection acceleration steps, and the order of payments during stress, tested annually.
-

6.3 Investment Policy

Purpose. To preserve capital, maintain liquidity and earn a reasonable return on excess cash, in that order.

Scope. Excess cash and investments of Simtora. The Board (or its Audit Committee) approves this policy and any change to it.

Policy

- **Objectives (in priority order):** (1) **safety of principal**, (2) **liquidity**, (3) **yield**. Simtora is not in the business of speculating with its cash.
- **Permitted investments:**
 - U.S. Treasury bills, notes and government agency securities
 - Government and Treasury **money-market funds** (AAAm or equivalent)
 - **Insured cash-sweep** programs and certificates of deposit within FDIC limits (or with a bank approved by the CFO for collateralized exposure)
 - High-grade **commercial paper** (rated A-1/P-1 or better) and corporate bonds rated A- or better, subject to the limits below
 - Other securities only with **Board approval**
- **Prohibited:** equities, digital assets, derivatives, structured products, leverage, short-selling, margin, private investments, and any investment in a related party, customer or vendor.
- **Limits.**

Measure	Limit
Maximum maturity of any single security	12 months (24 months with CFO approval)
Weighted-average maturity of the portfolio	6 months or less
Exposure to any single issuer (other than U.S. government)	10% of the portfolio, and \$2,000,000
Corporate and commercial paper in total	40% of the portfolio
Minimum rating for corporate securities	A- (or A-1 / P-1 short term)

- **Approval and execution.** The Head of FP&A and Treasury recommends transactions; the CFO approves; purchases above **\$5,000,000** need CEO approval. Purchases and sales are carried out by a person authorized under 6.1, with **confirmation to a person outside the trading function** and reconciliation to custodian statements monthly.
- **Custody.** Securities are held by an approved bank or broker-dealer in Simtora's name; statements are received by the Controller.
- **Reporting.** Treasury reports the portfolio (holdings, yield, maturity, ratings, unrealized gains or losses, compliance with limits) **quarterly** to the CFO and the Audit Committee, and reports any breach **within 5 business days**.
- **Accounting** follows 2.4.
- **Review.** The CFO reviews this policy annually and presents any changes to the Board.

6.4 Debt, Guarantees and Financing

Purpose. To control the way Simtora borrows, guarantees and raises capital.

Policy

- **Board approval** is required for: any loan, credit line, venture debt, convertible note, SAFE, preferred or common equity issuance, warrant, guarantee, letter of credit, capital lease over the threshold below, security interest or lien on Company assets, and any commitment to borrow.

- **Threshold.** Finance and operating leases, vendor financing and other commitments **over \$250,000** in total (unless part of an approved budget and lease policy) are approved by the CEO and CFO and reported to the Board.
 - **Due diligence.** Before signing, the CFO obtains legal review by the General Counsel, tax and accounting analysis by the Controller and, where relevant, comparative offers.
 - **Covenants.** The Head of FP&A and Treasury calculates covenants (minimum cash, revenue, leverage, reporting deadlines, insurance, negative covenants) **monthly** and compares them with forecasts; the CFO certifies compliance to lenders as required, and reports any actual or expected breach to the CEO and the Board **immediately**.
 - **Reporting to lenders and investors.** Deliverables (financial statements, budgets, compliance certificates, board packs) are listed in a **covenant and reporting calendar** kept by Treasury, with owner and due date; the CFO signs certificates.
 - **Guarantees, comfort letters and indemnities** for third parties (including affiliates, customers and landlords) are approved by the CEO and CFO, and by the Board over the thresholds above.
 - **Customer or vendor financing,** extended payment plans beyond 12 months, or any arrangement in which Simtora finances a counterparty need CFO and CEO approval (3.1).
 - **Personal guarantees** by employees, officers or directors are not requested by Simtora without the Board's approval and independent advice for the individual.
 - **Interest and fee payments** are made from the disbursement account on the due date; the Controller reconciles debt balances to lender statements monthly.
-

6.5 Financial Risk Management

Purpose. To identify, measure and control the financial risks Simtora faces (credit, liquidity, market, currency and interest-rate risk, concentration and counterparty risk).

Policy

The **Board** sets the risk appetite and approves this policy; the **Audit Committee** oversees it; the **CFO** manages it. Finance reports on financial risk in the quarterly package to the Audit Committee and reviews the risks with the Executive Team at least annually.

Risk	What it is	How Simtora manages it
Credit risk (customers)	Customers do not pay	Credit checks (3.1), credit limits, collections (3.2), allowance (3.2), concentration monitoring, contract terms (prepayment, suspension)
Counterparty risk (banks, investments)	A bank or issuer fails	Approved institutions, limits on uninsured balances, portfolio limits (6.1, 6.3)
Liquidity risk	Not enough cash to pay obligations	13-week and 12-month forecasts, minimum runway target, contingency plan, covenant monitoring (6.2, 6.4)
Interest-rate risk	Investment income or debt cost changes	Short-dated investments (6.3); fixed-rate debt or caps where practical; sensitivity analysis quarterly
Currency risk	Foreign-currency receipts or payments change in value	U.S.-dollar pricing (2.5); no speculative positions; hedging only under a Board-approved policy
Market risk	Fair value of investments changes	Permitted investments and limits (6.3)
Concentration risk	A few customers or vendors account for a large share	Report any customer over 10% of revenue or receivables and any vendor over 15% of spend to the CFO and Board; plans to reduce dependence on key vendors and cloud providers
Fraud and cyber-payment risk	Theft of funds or data	Controls in 1.3, 1.5, 4.2, 4.4; cyber and crime insurance (6.6)
Compliance and tax risk	Non-compliance with tax or reporting law	Part 10 and the tax calendar

- **Hedging policy.** If hedging or derivatives are ever proposed, the CFO prepares a policy with the Controller and outside advisers (objectives, permitted instruments, limits, counterparties, hedge accounting, controls); the **Board approves it before any transaction.**
- **Scenario and stress testing.** The Head of FP&A and Treasury models downside scenarios (for example, loss of the largest customer, 20% churn, delayed collections, cloud-cost spike) each year during budgeting and when conditions change.

6.6 Insurance Program

Purpose. To protect Simtora against losses it cannot or should not bear, and meet contract, legal and lender requirements.

Scope. All Simtora insurance policies. The **CFO owns the program**, with Legal, HR and IT advising and a licensed broker supporting.

Policy

- **Coverage.** Simtora maintains coverage at least equal to the table below (limits are reviewed each year against the business's size, contracts and market; the CFO may increase them):

Coverage	Minimum limit (per claim / aggregate, unless stated)
Commercial general liability	1, 000, 000 / 2,000,000
Umbrella / excess liability	\$5,000,000
Technology errors and omissions (E&O) and cyber liability, including breach response, business interruption, cyber extortion, social-engineering and funds-transfer fraud, regulatory and PCI costs	\$5,000,000 (sub-limits reviewed for social engineering and regulatory)
Directors and officers (D&O)	\$5,000,000
Employment practices liability (EPLI)	

- **Contract requirements.** Customer and landlord contracts often specify minimum insurance; **Legal and Finance check every requirement before signature**, and Finance orders certificates of insurance (COIs) within **3 business days**.
 - **Vendor and contractor insurance.** Vendors and contractors provide COIs with minimum limits proportional to risk (Procurement Policy Manual 5.2 and Appendix G); AP does not pay a vendor for high-risk services without a valid COI on file.
 - **Renewal.** The renewal process starts **at least 90 days before expiry**: updated applications (including security controls and revenue data, with IT input), broker marketing, quote comparison and CEO approval. Premiums are paid on time to prevent lapses; the **Controller** tracks payment dates and amortizes premiums (prepaid, 4.3).
 - **Insurance register.** Finance keeps a register of all policies: insurer, policy number, coverage, limits, retention, dates, premium, broker contact, claims contact.
 - **Claims and notices.** Any event that may lead to a claim (accident, injury, property loss, cyber event, regulatory letter, legal demand, fraud) is reported to the **CFO and General Counsel immediately**, and the CFO gives notice to the carrier **as soon as the policy requires and always within its notice period**. For a **SEV 1 security incident** under the IT Policy Manual, Finance and Legal notify the cyber carrier **usually immediately** on discovery (IT Policy Manual, incident response), before engaging outside responders not on the carrier's panel where the policy requires it.
 - **Claims management.** Legal and Finance run claims with the broker and carrier; costs and recoveries are tracked and recorded in the period they become probable or realized.
 - **Staff insurance** (health and welfare, life, disability) is handled by HR under the HR Policy Manual (6.9); Finance ensures premiums are paid and reconciled.
 - **Annual review.** The CFO presents the insurance program (coverage, gaps, claims history, renewal results) to the Audit Committee once a year.
-

Part 7 – Fixed Assets and Capital Expenditure

7.1 Capitalization and Depreciation

Purpose. To ensure long-lived assets are recorded, depreciated and safeguarded consistently.

Scope. Property, equipment, software and leasehold improvements owned by Simtora.

Policy

- **Capitalization threshold.** An item is capitalized when it is a **tangible asset** (or qualifying software) with a unit cost of 5,000 or more * **and an expected useful life of * more than one year * *. Items below * * 5,000* are expensed when purchased. **Cost includes** the purchase price, taxes, freight, installation, testing and directly attributable costs; **cost excludes** training, maintenance, repairs and relocation.
- **Groups of similar items** purchased together for one project (for example, a batch of monitors for a new office) are capitalized if the total cost of the group is at least ** 25,000 * **and each item costs at least 1,000.*
- **Components** of significantly different lives are recorded separately.
- **Subsequent costs.** Costs that **extend the asset's life, add capability or increase capacity** are capitalized; **routine repairs and maintenance** are expensed as incurred.
- **Depreciation** is **straight-line** starting when the asset is placed in service, with **half-month convention** (full month in the month placed in service if it is before the 16th), over these standard lives (which the Controller reviews annually):

Asset class	Useful life
Laptops, desktops, workstations, peripherals	4 years (matches the IT Policy Manual's laptop refresh cycle)
Servers, storage and network equipment	5 years
Furniture and fixtures	7 years
Office equipment	5 years
Leasehold improvements	Shorter of the lease term (including reasonably certain renewals) or 10 years
Capitalized internal-use software	3 years (2.3)
Purchased software licenses	Term of the license, or 3 years if perpetual
Vehicles (if any)	5 years
Land	Not depreciated
Construction in progress	Not depreciated until placed in service

- **Residual values** are assumed to be nil unless the Controller documents a reliable estimate.
- **Impairment.** The Controller reviews long-lived assets for impairment **annually** and whenever events suggest the carrying value may not be recoverable (office closure, product retirement, technology change, damage). If the sum of undiscounted future cash flows is less than the carrying value, the loss is recorded (ASC 360).
- **Tax depreciation** follows the tax rules (bonus depreciation, Section 179 and others as available); the Tax Manager maintains a separate tax depreciation schedule and deferred tax is recorded (2.9).
- **Asset retirement obligations** (for example, restoring leased space) are recorded when a legal obligation exists (with Facilities and Legal input).

7.2 Fixed Asset Register and Verification

Purpose. To record all capitalized assets and confirm they exist.

Policy

- **Register.** The Controller (through the Accounting team) maintains a **fixed asset register** that reconciles to the General Ledger every month and shows: asset ID and tag, category, description, vendor, invoice and PO, purchase date, in-service date, cost, useful life, accumulated depreciation, net book value, location or custodian, make, model and serial number, and status.
- **Additions.** New assets are recorded from approved invoices and receipts. The requester or IT confirms receipt in the system within **3 business days**; AP codes the cost to a **construction-in-progress or asset-clearing account** until the asset is placed in service, and the Controller capitalizes it at month-end (**no manual override of the threshold**).
- **Tagging and IT assets.** IT assigns a **unique asset tag** to every capitalized asset, and to every laptop and mobile device regardless of value (IT Policy Manual asset lifecycle). IT's asset inventory and Finance's register are **reconciled quarterly**, with differences explained within 30 days.
- **Physical verification.** The Controller's team and IT verify capitalized assets by **physical inspection or remote attestation each year**, and **spot checks each quarter** (sample of at least 10% by value). Remote-worker assets are verified by employee attestation with a photo or system check. Results are compared with the register, differences investigated within 30 days, and losses reported to the CFO.
- **Lost or stolen assets.** The employee reports loss or theft to IT Security **within 1 hour of discovery** (IT Policy Manual). Finance removes the asset from the register on the CFO's approval, records the loss, and where insured, files a claim (6.6). Employees are not charged for loss except as the HR Policy Manual allows.
- **Monthly reporting.** The Controller prepares a **fixed asset roll-forward** (opening balance, additions, disposals, depreciation, closing balance) as part of the close.
- **Custodians.** Each asset has a named custodian who is responsible for reasonable care and reporting. Assets of departing employees are collected under the offboarding process (HR Policy Manual 9.4 and IT Policy Manual).

7.3 Capital Expenditure Approval, Transfer and Disposal

Purpose. To make sure capital spending is planned, justified and approved, and that assets are transferred or disposed of properly.

Policy

Capital budget and approval

- Department Heads submit a **capital expenditure (capex) plan** during the annual budget (8.1), with cost, business case, alternatives and timing. The Board approves the annual capital budget.
- **Approval of individual purchases** follows 1.2. **Unbudgeted capital spend** over 25, 000 * *needstheCFO*; over * **100,000** the CEO; and the budget is amended under 8.2.
- For capital items, quotes and competitive process follow 4.1. IT purchases also need IT review.

Transfers. Movement of an asset between people, departments or locations is recorded by IT (or Facilities) in the asset system **within 5 business days** and reflected in Finance's register at the next quarterly reconciliation.

Disposal, sale, donation and scrapping

- Any disposal, sale, donation or write-off of an asset needs written approval:

Net book value or expected proceeds (whichever is greater)	Approval
Under \$5,000	Department Head or IT (for IT assets)
5, 000–25,000	Controller and Department Head (with IT for IT assets)
25, 000.01–100,000	CFO
100, 000.01–500,000	CEO
Over \$500,000, or any sale to an employee, director or related party	Board

- IT assets are wiped and disposed of under the **IT Policy Manual (2.4, secure disposal and media sanitization)**; IT approves disposal, resale or donation, and **for assets**

above the capitalization threshold, Finance clears the disposal to make sure the register and depreciation are stopped correctly.

- **Sales of assets to employees** (for example, laptops at end of life) are made at fair market value and follow the IT rules; proceeds go to the bank, not to individuals. Sales to related parties need Compliance approval.
 - **Proceeds** are deposited in a Simtora account. **Gain or loss** on disposal (proceeds less net book value) is recognized in the period of disposal.
 - **Documentation:** disposal form, certificate of data destruction or recycling (for IT assets), approvals and proof of receipt of proceeds, retained with the register.
-

7.4 IT Assets, Software and Cloud Costs

Purpose. To align Finance's treatment of technology assets and spend with the IT Policy Manual.

Policy

- **IT budget.** IT prepares its budget with Finance in the Company's budget cycle (IT Policy Manual 1.2). Costs are tracked monthly; **variances above 10% of the approved line or \$25,000, whichever is smaller, are explained to Finance** (see 8.2).
- **Laptops and devices.** Laptops are generally below the capitalization threshold and are **expensed**, but are tracked by IT and tagged; laptop **refresh is every 4 years** (IT Policy Manual). Where a laptop or device order exceeds the threshold as a group under 7.1, it is capitalized and depreciated over 4 years.
- **Software and SaaS.** Subscriptions are expensed over the term (prepaid where over \$5,000). IT keeps the SaaS inventory (owner, cost, renewal date, data classification); Finance reconciles it to the General Ledger and card spend **quarterly**. **Renewals are reviewed 90 days ahead** (IT and 1.2).
- **Cloud infrastructure and AI/API usage.** Costs are accrued from usage reports monthly (4.3) and managed under the cloud-cost rules in 8.4.
- **Cost allocation.** Shared IT and SaaS costs are charged to the departments that use them under 8.4.
- **Cyber insurance and incidents.** Finance and Legal notify the carrier on SEV 1 incidents (6.6; IT Policy Manual).

- **IT general controls (ITGC) over financial systems.** The Controller and the Head of IT / CISO co-own the ITGCs for financial systems (access, change management, operations, backup) and test them yearly (1.4, 9.6; IT Policy Manual).
 - **Cloud provider commitments** (reserved capacity, savings plans, committed spend) over ****100,000 * *need the CFO and Head of IT, and over 500,000 the CEO** (1.2).
-

Part 8 – Budgeting, Forecasting and Cost Management

8.1 Annual Budget Cycle

Purpose. To translate strategy into an approved financial plan that guides spending and measures results.

Scope. All departments and all operating, headcount, capital and cash budgets.

Policy

- **Ownership.** The **Head of FP&A and Treasury** runs the budget process for the **CFO**; each **Department Head** owns their department's budget; the **CEO and Executive Team** set goals; the **Board approves** the annual budget.
- **Annual calendar** (the FY2027 cycle is the first under this manual):

Timing	Milestone
August	CEO and Executive Team confirm strategic priorities and financial targets (growth, margin, cash)
Early September	Budget kickoff: templates, assumptions (headcount costs, pricing, FX, inflation, tax), and guidance issued by FP&A
By October 15	Department budgets submitted (operating expense by account and month, headcount plan, capex plan, vendor commitments)
October	FP&A review; challenge sessions with each Department Head; revenue plan built by Sales, Customer Success and Finance
Early November	Consolidated draft to the Executive Team; adjustments
By November 30	CEO approves the recommended budget
By December 15	Board approves the annual budget and capital plan
January 1	Budget takes effect in the General Ledger system (locked; changes only under 8.2)

- **Budget contents.** Revenue by type (new, expansion, renewal, churn, services), headcount and compensation (8.5), operating expense by department and account, cloud and hosting costs (COGS), capital expenditure, working capital, cash flow, and key performance measures (8.3).
- **Assumptions and challenge.** FP&A documents key assumptions, including cost per head (with benefits and payroll taxes), merit increases and bonus pool, pay-equity reserve (5.6), recognition budget (5.5), cloud unit costs, price increases, and tax. Budgets are checked for reasonableness against prior-year actuals, current trends, and market benchmarks.
- **Approval.** Budgets are approved by the Department Head, then the CFO, CEO and Board. Departments do not spend against an unapproved budget, except for **continuing commitments** (payroll, rent, contracts) in the period before approval.
- **Zero-based review.** Every year the CFO chooses at least two areas for zero-based review (justifying all spend from zero) with the Executive Team.

- **Multi-year plan.** FP&A maintains a **3-year financial model** updated annually with the budget and used for financing and strategy.
-

8.2 Budget Control, Variances and Transfers

Purpose. To keep spending within approved limits and to react quickly when results differ from plan.

Policy

- **Monthly budget-versus-actual reports** are issued to Department Heads by **business day 10** of the following month (9.1). Department Heads review them and submit **variance explanations** to FP&A by **business day 12**.
- **Explain any line variance over 10% of the approved amount or \$25,000, whichever is smaller** (for the month and year to date), including the cause, whether it is timing or permanent, and the corrective action. This is the same rule used in the IT Policy Manual (1.2).
- **Overspending.** A department may not exceed its **total approved budget** (operating or capital) without written approval:
 - Up to 5% above the annual departmental budget: CFO.
 - Over 5%: CEO, with the Board informed at its next meeting.
- **Budget transfers.**
 - Between lines **within a department**, up to **10% of the department's total operating budget**: Department Head with notice to FP&A.
 - **Between departments**, or above 10% within a department: CFO.
 - **Between operating and capital budgets, or into headcount and compensation lines**: CFO (and CEO where above the overspending thresholds).
 - **Use of the unallocated reserve** (the CFO holds a contingency of about **2% of operating expense** in the company-level budget): CFO, reported quarterly to the CEO and Board.
- **Hiring against budget.** Headcount is added only with an approved requisition that matches the budgeted headcount, or new headcount approved by the CEO and the CFO (HR Policy Manual 1.1). FP&A monitors the position roster monthly against payroll.

- **Freeze and controls.** If the forecast shows a material shortfall against the plan or against the liquidity target (6.2), the CFO may recommend spending controls (hiring freeze, travel limits, approval of all non-payroll spend over \$2,500) to the CEO, who may impose them.
- **Reporting.** FP&A tracks variances and their causes, and reports significant unexplained variances to the CFO monthly. The Executive Team reviews spend against plan monthly.

8.3 Forecasting and Performance Measures

Purpose. To keep leadership informed about where the business is likely to end up, and to track the health of the business with consistent measures.

Policy

- **Forecasts.** FP&A produces a **quarterly reforecast** (actuals to date plus updated outlook for the year), within **15 business days** of quarter-end, and a **rolling 12-month view**. Forecasts use the same structure as the budget, and the CFO signs off on the forecast before it goes to the CEO and Board.
- **Forecast accuracy.** FP&A measures revenue and expense forecast accuracy each quarter. The target is **within $\pm 5\%$** of actual revenue for the current quarter and $\pm 10\%$ for expenses.
- **Key measures.** Finance defines, documents and calculates the following consistently, and does not change definitions without CFO approval and a note to the Board:

Measure	Definition (summary)
ARR (annual recurring revenue)	Annualized value of active recurring subscription and committed usage contracts at the measurement date, excluding one-time fees
Net revenue retention (NRR) and gross revenue retention (GRR)	Recurring revenue from customers a year ago, including or excluding expansion, divided by their recurring revenue a year ago
Gross margin	

- **Non-GAAP measures** are labeled as such, reconciled to GAAP, and not presented as GAAP.
- **Data quality.** Measures come from the General Ledger, billing system and HRIS, not manual estimates, and are reviewed by the Controller before being shared outside Finance.

8.4 Cost Allocation and Cloud Cost Management

Purpose. To charge costs to the departments and products that cause them, and to keep cloud and technology costs under control.

Policy

- **Direct versus shared costs.** Costs are coded directly where they can be identified (for example, a department's own software or contractor). **Shared costs** are allocated using the drivers below, set annually by the Controller with Department Heads and approved by the CFO:

Shared cost	Allocation driver
Corporate IT, SaaS suites and security tools	Headcount (or the number of licenses used)
Cloud and hosting for shared platforms	Usage tags (product, environment, customer) where available; otherwise revenue or usage share
Facilities and office costs	Headcount and occupied space
Benefits and payroll taxes	Actual, by employee's department
Insurance	Headcount, revenue or exposure as appropriate
Finance, HR, Legal and executive costs	Not allocated (held in G&A) unless required for a purpose such as government contracts or pricing

- **Cloud cost governance ("FinOps").**
 - Engineering and the Head of IT tag all cloud resources by **environment, product, team and, where feasible, customer**; untagged spend above 5% of the monthly

bill is reported to the Head of Engineering and Finance.

- **Budget alerts** are set on each cloud, AI/API and major SaaS account at **80% and 100% of the monthly budget**; alerts go to the owner, Finance and the Head of IT. A forecast overrun above **10%** is reported to the CFO within **2 business days**.
 - **Monthly cloud-cost review** (Finance, Engineering and IT): trends, unit cost, waste (idle or oversized resources), commitments and discounts, and customer-level profitability.
 - **Commitments.** Reserved capacity, savings plans or committed-spend contracts are approved by the Head of IT and the CFO if over **100,000 * *and by the CEO if over * *500,000 (7.4; 1.2)**, after checking utilization forecasts.
 - **Cost of revenue.** Hosting, third-party components in the product, customer support, and professional-services delivery costs are classified as cost of revenue (1.4). The Controller reviews classification quarterly.
 - **Capitalizable engineering labor** is allocated by project (2.3).
 - **Transfer pricing and intercompany charges** (if entities are added) follow a written policy approved by the CFO and Tax.
-

8.5 Headcount and Compensation Budgeting

Purpose. To plan and control the largest cost in the business, and to keep hiring, pay and budget aligned with the HR Policy Manual.

Policy

- **Headcount plan.** FP&A and HR build the headcount plan by department, role, level, start month and location; cost per head includes base pay, bonus or commission, employer taxes, benefits, equipment, software and (for remote workers) the home-office allowance and stipend (HR Policy Manual 7.4).
- **Requisitions.** HR opens a requisition only for budgeted roles, or for new roles approved under 8.2. The requisition states the salary range, which HR determines under pay-equity and pay-transparency laws in the states where it recruits (HR Policy Manual 1.1).

- **Merit and market adjustments.** The **merit budget** (percentage of base payroll) is proposed by the CPO and CFO, approved by the CEO and the Compensation Committee, and included in the budget. Adjustments take effect on the date HR publishes in the annual cycle.
 - **Bonus and commission pools** are set with the plan documents and accrued monthly (5.5). **Equity** grants are approved by the Board or Compensation Committee (2.7).
 - **Pay-equity reserve** of at least 0.25% of base payroll (5.6).
 - **Contractor budgets** are tracked separately from employees, and their use is reviewed each quarter with HR for classification (5.7).
 - **Reporting.** FP&A and HR reconcile the **position roster** (approved and filled) to payroll monthly; unfilled positions are reported to the CFO and Executive Team; any spending above the headcount budget needs the approvals in 8.2.
 - **Severance and restructuring costs** are estimated with HR and Legal, approved by the CEO (and Board if material) and accrued when probable (2.8).
-

Part 9 – Period-End Close, Reporting and Audit

9.1 Month-End Close

Purpose. To produce complete and accurate books quickly and consistently each month.

Scope. All entities and all accounts. The Controller owns the close.

Policy

Close calendar (business days, "BD"; BD1 is the first business day after month-end). The full checklist is in Appendix C.

BD	Milestone	Owner
Month-end	Sub-ledgers stop accepting backdated entries after the cut-off; departments submit accrual information and confirm receipts of goods and services	All departments
BD1	Cut-off: payroll and benefits journals posted; card and bank feeds complete; usage data extracted; AP accruals started	Payroll, AP, Billing
BD2	AR/billing sub-ledger closed; deferred revenue and revenue schedules run; cloud and vendor accruals booked	Billing, Accounting
BD3	AP sub-ledger closed; expense reports and card transactions cut off; prepaid and fixed asset schedules updated; depreciation and amortization posted	AP, Accounting
BD4	Intercompany and eliminations (if any); stock compensation, capitalized software and commission entries; leases	Accounting
BD5	Bank and cash reconciliations complete; preliminary trial balance	Accounting, Treasury
BD6	All balance-sheet reconciliations prepared; preliminary financial statements and flux analysis	Accounting
BD7	Controller review of reconciliations, journal entries and flux; open items resolved	Controller
BD8	Books locked (period closed in the General Ledger); post-close adjustments only with CFO approval	Controller, CFO
BD10	Management financial reporting package to CEO and Executive Team, and budget-versus-actual reports to Department Heads	Controller, FP&A
BD12	Department Heads submit variance explanations	Department Heads
BD15		

- **Quarter-end and year-end closes** add tax provision, revenue and SSP testing, cut-off testing, contingency review with Legal, stock-compensation true-up, debt and covenant calculations, allowance review, disclosures and lease reviews. The quarter-end target for closing the books is **BD10**, year-end is addressed in 9.4.
 - **Lock and reopen.** After BD8 the General Ledger period is locked by the Finance Systems Administrator. Reopening a closed period needs the **CFO's** written approval, and the reason and changes are logged. Errors found after the lock are corrected in the current period unless material to prior periods (see 2.1).
 - **Late items.** Costs or revenue identified after the lock are recorded in the next period when below the materiality thresholds, and logged on the unadjusted differences log.
 - **Sub-ledger to General Ledger** reconciliation is required for AR, AP, fixed assets, prepaids, deferred revenue, payroll liabilities and leases, before the trial balance is final.
 - **Flux review.** Accounting analyses month-on-month and budget-versus-actual movement above **10% and \$25,000** for each P&L and balance-sheet line, with explanations documented.
 - **Close metrics.** The Controller tracks the close (days to close, number of post-close adjustments, reconciliation on-time percentage). The target is to close by **BD8** with fewer than 5 post-close entries.
-

9.2 Journal Entries, Reconciliations and Suspense Accounts

Purpose. To ensure that manual entries are valid and that every balance-sheet account is supported.

Policy

Journal entries

- **Support.** Every manual journal entry has: a clear description, the accounts and dimensions, the period, **supporting documentation** (calculation, contract, invoice, memo), the preparer's name and date, and an approver.
- **Approval.** The approver must be different from the preparer.

Manual journal entry	Approver
Up to \$25,000	Accounting Manager or Controller
25, 000.01–250,000	Controller
Over **250, 000 * <i>*, or any entry affecting revenue over 50,000, reserves or estimates</i>	CFO (revenue over \$50,000: Controller first; see 2.2)
Post-close entries (after BD8), top-side adjustments, entries to equity, entries by the CFO or Controller	CFO (entries prepared by the CFO are approved by the CEO or Audit Committee chair)

- **Recurring entries** use templates approved by the Controller and reviewed when the underlying facts change.
- **Reversing accruals** are set to reverse automatically in the next period.
- **Entries into certain accounts** (revenue, deferred revenue, allowance, accruals, reserves, equity, cash and intercompany) are flagged and reviewed by the Controller each month.
- **Journal entry testing.** Internal audit tests a sample of manual journal entries at least **annually** using data analytics, including entries posted on weekends, near period-end, by unusual users, in round amounts, or with weak descriptions.
- No one may post an entry to a closed period, to their own expense or pay, or to any account they do not need.

Reconciliations

- **All balance-sheet accounts** are reconciled **monthly** (higher-risk accounts weekly or daily) to supporting evidence, using the standard reconciliation template with: the ledger balance, the supporting balance (bank statement, sub-ledger, schedule, third-party statement), reconciling items with reasons, and the preparer and reviewer signatures and dates.
- **Timing:** bank and cash by **BD5**, all others by **BD6**; **review by the Controller** (or delegate) by **BD7** and no later than BD8.

- **Independence:** the person who prepares a reconciliation is not one who processes or approves the underlying transactions.
- **Reconciling items** older than **60 days** are investigated and escalated to the Controller; items older than **90 days** are cleared, written off or corrected with Controller approval (CFO over \$25,000).
- **Key reconciliations** include: cash and bank (each account); merchant and payment processors; AR to billing and the allowance; deferred revenue and contract assets; prepaid and deferred commissions; fixed assets and capitalized software; AP to the sub-ledger, and to vendor statements (quarterly); accrued liabilities; payroll liabilities and tax accounts; sales-tax payable; debt and leases; equity to the cap table; intercompany; and investments to custodian statements.
- **Third-party evidence.** For balances that depend on third parties (banks, lenders, insurers, payroll provider, tax authorities), the Controller obtains statements directly from those parties, not only from the counterparty via employees.

Suspense and clearing accounts

- Suspense accounts are **temporary**, opened only with Controller approval, and used for items whose classification is not yet known (for example, unidentified deposits, asset-clearing).
- Suspense balances are reviewed **monthly**; every item is cleared **within 30 days**, and items older than 30 days are reported to the CFO. **Balances at quarter-end are reported to the CFO and Audit Committee.**
- The Controller prevents the use of suspense to hide errors, cash shortages or fictitious entries.

9.3 Management, Board and Lender Reporting

Purpose. To give decision-makers timely, accurate and useful information.

Policy

- **Monthly management package** (by BD10): income statement (versus budget, forecast and prior year), balance sheet, cash-flow statement, cash and runway, revenue and ARR analysis, headcount and payroll, cloud and hosting costs, capex, AR aging and

DSO, KPI dashboard, budget-versus-actual by department, and a commentary from the CFO. The CFO reviews and signs off.

- **Quarterly Board and Audit Committee package** (within **30 days** after quarter-end): reviewed financial statements, reforecast, liquidity and covenant status, key estimates and judgments, allowance and write-offs, contingencies, tax matters, control deficiencies and remediation, exceptions register, whistleblower or fraud matters concerning finance, insurance and cyber-related financial exposures, and major pending decisions.
 - **Annual reporting.** Financial statements for the year (with notes), the budget and the operating plan.
 - **Lender and investor reporting** follows agreements (see 6.4). The CFO signs and confirms compliance certificates.
 - **Customers and third parties.** Financial information to customers, partners or regulators (for example, as part of a security or vendor review) is provided by the CFO or Controller only, approved by Legal where needed.
 - **Accuracy.** Nothing in reports may be presented in a way that is misleading. Where results depend on estimates, the report states the assumption; where there is an unresolved error or material uncertainty, the report says so.
 - **Confidentiality.** Financial results and forecasts are **Confidential** (IT Policy Manual) and are shared only with approved recipients.
-

9.4 Year-End Close and Financial Statements

Purpose. To produce reliable annual financial statements ready for audit, tax and lenders.

Policy

- **Year-end timetable** (targets): year-end close (**books locked**) by **BD15 of January**; **draft financial statements by January 31 to mid-February**; **audit fieldwork February–March**; **audited financial statements issued within 120 days of year-end (by April 30)** unless the Audit Committee or lenders set a different date; **tax returns** by the due date or extension (10.4).
- **Year-end procedures** include: physical verification of fixed assets (7.2); confirmation of all bank balances; investment and debt confirmations; **cut-off testing**; inventory or

prepaid counts; review of all reserves, allowance and estimates; **search for unrecorded liabilities** for 30 days after year-end (4.3); **legal-letter** responses and litigation summary (2.6); review of related-party transactions and conflict of interest disclosures (Compliance); review of the **exceptions register** and control deficiencies (9.6); stock-compensation and 409A valuation review (2.7); leases and impairment tests; goodwill and intangible impairment (if any); deferred revenue and commissions true-up; tax provision; **accruals for bonuses, commissions, PTO and unclaimed property**; and review of accounting policies.

- **Financial statements** include the balance sheet, income statement, statement of comprehensive income (if applicable), statement of stockholders' equity, cash-flow statement and notes, prepared under U.S. GAAP. The Controller prepares them, the CFO reviews and approves, and the Audit Committee reviews them before the CEO and Board approve.
 - **Management representation letter** to the auditors is signed by the CEO and CFO after the Controller and Legal have confirmed that all relevant facts (fraud, non-compliance, litigation, related parties, subsequent events) have been disclosed.
 - **Year-end reporting for employees and contractors:** Forms W-2 and 1099 by **January 31**, and ACA forms as required (5.4, 5.7, 10.3).
 - **Year-end ledger roll-over and lock:** after the audit adjustments, the prior year is locked, retained earnings are rolled forward, and the budget baseline is updated.
 - **Inventory of contracts and commitments:** the Controller obtains a confirmation of open contracts, commitments and guarantees from Legal and Procurement.
-

9.5 External Audit and Internal Audit

Purpose. To provide independent assurance over Simtora's financial statements and control environment.

Policy

External audit

- The **Audit Committee** appoints the independent external auditor (a licensed CPA firm), approves its fees and scope, and pre-approves any **non-audit services** so that independence is not impaired. Management does not hire the auditor for consulting,

valuation, bookkeeping, internal audit or tax planning services that would impair independence without prior Audit Committee approval.

- **Annual audit.** Simtora obtains an annual **financial statement audit** (required by lenders, investors or the Board). The Controller prepares the "**prepared by client**" (**PBC**) **list** and coordinates access; requests are answered within **3 business days** where possible.
- **Auditor communications.** The auditor meets the Audit Committee at least annually without management present, and management shares findings, adjustments (recorded and unrecorded), deficiencies in control and disagreements. Finance never withholds information from auditors, and any attempt to mislead or influence an auditor improperly is a serious violation of this manual and the Code of Ethics and Compliance Manual.
- **Management letter points** are tracked and remediated with owners and dates (9.6).
- **Auditor independence and rotation.** The Audit Committee reviews the auditor's independence and quality annually and rotates the engagement partner as professional standards require. The audit firm is rebid at least every **5–7 years** or on request.
- **SOC 2 and security audits** are managed by IT with the CISO and are separate, but Finance supports them for financial-system controls (IT Policy Manual assurance; Code of Ethics and Compliance Manual).

Internal audit

- Simtora uses a **co-sourced internal audit function**: an outside firm (or qualified independent reviewers) who report **functionally to the Audit Committee** and administratively to the General Counsel.
- The **annual internal audit plan**, risk-based and covering finance, IT general controls, payroll, expenses, procurement, compliance and other areas, is approved by the Audit Committee by **January 31** (as in the Code of Ethics and Compliance Manual).
- Internal audit has unrestricted access to people, records and systems; issues written reports to the Audit Committee, CFO, and the process owner; and follows up until findings are closed.
- **Management response and remediation.** Owners provide a management response within **15 business days**, with a remediation plan and target dates. High-risk findings are remediated within **60 days** and others within **120 days**, unless the Audit Committee agrees otherwise.

- Internal audit may **not** perform any control activity that it audits.

9.6 Control Testing and Deficiency Management

Purpose. To make sure controls work as designed and problems are fixed.

Policy

- **Annual control testing.** The Controller coordinates testing of key controls in the RCM each year (design and operating effectiveness), using internal audit or an independent tester. Testing is scheduled through the year, with year-end reporting in January.
- **Self-assessment.** Process owners certify **each quarter** that key controls operated as designed and report any exception.
- **Deficiency classification.**

Classification	Meaning	Reporting and remediation
Control deficiency	Control gap or failure with limited effect	Owner fixes; tracked by the Controller
Significant deficiency	Less severe than a material weakness but important enough to merit attention	CFO and Audit Committee at the next meeting; remediate within 90 days
Material weakness	A reasonable possibility that a material misstatement will not be prevented or detected on a timely basis	CEO, CFO and Audit Committee within 5 business days ; immediate remediation plan; disclosure to auditors and lenders as required

- **Root cause and remediation.** For each deficiency, the Controller records the cause, the remediation, the owner, and the date; remediation is re-tested after it operates for a reasonable period.
- **ITGC testing** (access, change, operations) is completed with IT each year (1.4; IT Policy Manual). **Vendor SOC report reviews** are documented (1.3).
- **Fraud risk assessment** is refreshed annually (1.5).

- **Reporting.** The Controller reports on control testing, deficiencies and remediation to the Finance Control Committee monthly and to the Audit Committee quarterly.
-

Part 10 – Tax Compliance

10.1 Tax Governance and Calendar

Purpose. To ensure Simtora meets all tax filing and payment obligations accurately and on time.

Scope. Federal, state and local income, franchise, sales and use, payroll, property and information-return taxes; tax registrations; tax audits.

Policy

- **Ownership.** The **CFO** owns tax risk. The **Tax Manager**, supported by qualified **outside tax advisors**, prepares, files and monitors returns. The Controller provides data and accounting; Legal supports on entity and notices.
- **Tax calendar.** The Tax Manager keeps a tax calendar showing every filing, payment and registration renewal, with owner, preparer, reviewer and due date, and the calendar is included in Appendix E in outline. Overdue items are reported to the CFO **immediately**.
- **Review and signature.** Returns are prepared by the Tax Manager or advisors, **reviewed by the Controller and approved by the CFO** before filing. Where required, an authorized officer signs.
- **Payments.** Tax payments are made electronically (EFTPS, state portals) by Finance under 4.4, **never** on the strength of an unverified notice. Notices and payment demands are verified with the authority through a known channel.
- **Registrations.** New registrations (state income, sales, payroll, local) are approved by the Tax Manager and completed before activity begins in a new jurisdiction. HR, Sales Operations and Engineering must tell Tax **at least 30 days** before hiring in a new state, selling to a new state at scale, opening an office, or starting significant activity; Tax then assesses nexus and registrations.

- **Tax positions and uncertain positions** are documented and reviewed by the CFO (2.9). Aggressive or novel positions need advice from outside advisors and CFO approval, and are reported to the Audit Committee.
 - **Tax advisors.** Outside tax advisors are engaged by the CFO under engagement letters and policies on independence (9.5).
 - **Tax notices, audits and inquiries** follow 10.5.
 - **Record-keeping** follows 11.1: support for returns is retained at least **7 years**.
-

10.2 Sales and Use Tax

Purpose. To collect and pay state and local sales and use tax correctly on Simtora's sales and purchases.

Policy

- **Nexus monitoring.** Following the U.S. Supreme Court's *Wayfair* decision, states may require registration and collection based on **economic nexus** (sales or transaction thresholds) as well as physical presence. The Tax Manager reviews sales by state **quarterly** (and whenever a large deal or new office arises) against each state's thresholds, registers as required and remits tax from the required date. Where past exposure is found, the CFO decides with advisors whether to pursue voluntary disclosure.
- **Taxability of Simtora's products.** Whether SaaS, digital goods, support, professional services and hardware are taxable varies by state and locality. The Tax Manager maintains a **product-taxability matrix** by state, and the billing system's **tax engine** applies it. Billing does not override tax on an invoice; any override request goes to the Tax Manager.
- **Exemption certificates.** Billing collects **valid exemption or resale certificates** for exempt customers before invoicing without tax, tracks expiry, and keeps them at least **7 years** or as the state requires.
- **Returns.** Sales-tax returns are filed on the state's schedule (monthly, quarterly or annually), reviewed and approved as in 10.1. The Controller reconciles **sales-tax payable** to filings each month.

- **Use tax.** AP accrues and pays **use tax** on taxable purchases where a vendor did not charge tax (4.3), and Tax reviews the accrual at least annually.
 - **Marketplace and reseller arrangements.** Contracts with resellers or marketplaces that collect tax are reviewed by Tax before signing (3.1).
 - **Customer-facing changes** (new products, pricing changes, location changes) require Tax review of tax impact before launch.
-

10.3 Payroll Tax and Information Reporting

Purpose. To meet withholding, deposit and information-reporting obligations for employees and contractors.

Policy

- **Payroll taxes** are governed by 5.4 (deposits, quarterly and annual returns, state registrations, reconciliation). Finance monitors the payroll provider's filings and receives copies.
- **Forms W-2/W-3 and 1099** are issued by **January 31** (5.4, 5.7), and corrections are made promptly on discovery of errors.
- **ACA (Affordable Care Act) reporting.** With **50 or more full-time-equivalent employees** Simtora is an applicable large employer: HR and Payroll track hours and coverage each month and file **Forms 1094-C and 1095-C** (furnish to employees and file with the IRS by the IRS deadlines, usually March). Finance confirms the offers of coverage to avoid employer shared-responsibility penalties.
- **Equity-related reporting** (Forms 3921, 3922, W-2 reporting of exercises and vesting, Section 83(b) elections where relevant) is prepared by Finance and the equity-administration provider.
- **Multi-state and remote employees.** Payroll and Tax determine withholding, unemployment, paid leave and local tax obligations for each employee's work location (5.4).
- **Worker classification.** See 5.7 for contractors, and HR Policy Manual 1.2 for employee classification. Payroll-tax exposure from misclassification is assessed by Tax and Legal when raised.

- **International payments.** Payments to foreign vendors and individuals follow 4.2 and 5.7 for withholding and reporting (Forms W-8, 1042-S).
 - **Unemployment claims and notices** are handled by HR and Payroll in the state deadlines (5.4).
-

10.4 Income Tax, Credits and State Filings

Purpose. To ensure Simtora files income and franchise tax returns accurately, uses available credits and meets entity-level obligations.

Policy

- **Federal.** Simtora files a **Form 1120** (C corporation) return by the due date (April 15 for a calendar-year corporation) or an extension. **Estimated tax payments** are due on the **15th day of the 4th, 6th, 9th and 12th months** of the tax year (April, June, September and December), calculated by the Tax Manager on the quarterly provision and cash forecast.
- **State and local.** Simtora files state income, franchise and gross-receipts returns in each jurisdiction where it has nexus, and maintains a **filing matrix**. Entity-level filings (state annual reports, registered agent, franchise tax in the state of incorporation) are maintained by Legal and Tax.
- **Research and experimentation.** The Tax Manager applies the current federal treatment of **research and experimental expenditures** (including the amortization or expensing rules as enacted, such as Section 174/174A) and evaluates the **research credit (Section 41)**. Engineering and Finance keep **contemporaneous documentation** (project descriptions, time records, technical uncertainty, costs) to support any claim. The CFO approves each claim.
- **Other credits and incentives** (state or local hiring, location, payroll or R&D incentives) are evaluated by the Tax Manager before commitments to hire or locate, and Legal reviews the agreements. Simtora does not enter tax-driven arrangements with no business purpose.
- **Deferred taxes and provision** follow 2.9; the provision is reviewed by the CFO and shared with the external auditor.

- **Transfer pricing and international tax.** Simtora has foreign subsidiaries in Pakistan, Germany, France, Australia and the United Kingdom. The Tax Manager prepares transfer-pricing documentation, sets intercompany service pricing, addresses foreign reporting (for example, Forms 5471 and 8858) and manages withholding taxes and permanent-establishment risk, as set out in SIM-GLB-001, Part 3.4. New foreign operations are addressed before they begin.
- **Tax-exempt status and donations.** Charitable donations follow 4.10; Finance keeps documentation of receipts for deductions.
- **Beneficial ownership and other filings.** Legal and Tax monitor other corporate filings (for example, beneficial-ownership and state reports) as required by law.

10.5 Tax Audits and Unclaimed Property

Purpose. To respond properly to government tax inquiries and to meet unclaimed-property duties.

Policy

Tax notices and audits

- Any letter, call or notice from a tax authority is sent to the **Tax Manager and Controller within 1 business day** of receipt. Employees do not respond to authorities themselves. The CFO informs the CEO and General Counsel of any audit or assessment above \$25,000.
- The Tax Manager, with outside advisors, prepares a response by the deadline, coordinates document requests through the Controller and Legal, and records the outcome. Audit settlements over 25,000 * *need CFO approval, and over* * 100,000 need CEO approval.
- Assessments and probable liabilities are recorded under 2.6 and 2.9.
- Legal may issue a **legal hold** on records relevant to an audit (11.3).

Unclaimed property (escheat)

- **What is covered.** Uncashed payroll and vendor checks, unclaimed wages, customer credit balances and refunds, uncashed refunds, unapplied cash and other amounts

owed to third parties that remain unclaimed after a period set by each state (the "dormancy period," generally 1 to 5 years depending on the property and state).

- **Process.** The Tax Manager and Controller review balances at least **annually**, identify property by state of the owner's last known address (or the state of incorporation if no address is known), carry out **due-diligence outreach** to owners within the state's required window, and **report and remit** to the state by its deadline (many states use a fall or spring due date; the calendar shows each).
 - **Do not write off** unclaimed amounts to income before the state rules allow.
 - **Records.** Owner outreach, reports and remittances are retained for **at least 10 years** or as the state requires.
 - **Voluntary disclosure agreements** for past years are decided by the CFO with advisors.
-

Part 11 – Records, Data and Systems Security in Finance

11.1 Records and Retention

Purpose. To keep the records required for accounting, tax, audit, legal and business needs, and to dispose of them safely.

Scope. All financial and accounting records, paper or electronic. This section applies the retention schedule of the Code of Ethics and Compliance Manual.

Policy

- **Electronic first.** Invoices, contracts, approvals, expense receipts and journal support are stored electronically in the designated systems (AP, expense, billing, document repository) in an indexed, searchable and **tamper-evident** way. Paper originals scanned into the system may be destroyed after quality check unless the law or a legal hold requires otherwise.
- **Naming and indexing.** Records are indexed by vendor or customer, document number, date, amount and transaction ID so they can be retrieved for reconciliation,

audit and tax review. Filing is completed **daily** for scanned documents, and the AP and AR files are complete at month-end.

- **Retention periods** (financial, tax, contracts, AP and AR records: **7 years**), following the Code of Ethics and Compliance Manual:

Record	Retention
General ledger, financial statements, audit reports, budgets	Permanent (statements and audit reports); 7 years (ledger detail)
AP and AR records, invoices, payment support, bank statements and reconciliations, expense reports and receipts	7 years
Customer contracts, order forms, revenue support	7 years after the contract ends or expires
Payroll and tax records (registers, returns, W-2, 1099, I-9 held by HR per HR rules)	7 years (never less than legal minimums, for example 3 years under FLSA, 4 years for employment taxes)
Tax returns and support	7 years after filing (permanently keep the filed return)
Fixed asset records and lease records	Life of the asset or lease plus 7 years
Corporate records (minutes, resolutions, cap table, articles, bylaws, stock ledger)	Permanent
Insurance policies and claims	Permanent for occurrence-based policies; 7 years for others
Trade and export records	5 years
Email and messages relating to the above	3 years by default (unless a longer period applies to the underlying record)
Unclaimed property and escheat records	10 years
Recruiting records for candidates not hired (HR)	3 years

- **State or federal law or a contract that requires longer retention prevails.**
- **Custody.** Finance stores accounting records; Legal stores contracts and corporate records; HR stores personnel files. Access to records is limited by need (11.2).

- **Off-site or paper archives** (if any) are held under Facilities' arrangements (Facilities and Office Administration Manual, SIM-FAC-001, 5.6) and logged.
 - **Records of exceptions, approvals and reviews** (for example, control evidence, approvals for exceptions, reconciliation sign-offs) are records, too, and retained as above.
-

11.2 Confidentiality, Payment Data and Systems Access

Purpose. To protect sensitive financial and personal information.

Policy

- **Classification.** Under the IT Policy Manual data classes (Public, Internal, Confidential, Restricted), most financial records are **Confidential**; **Restricted** data includes bank account and card numbers, Social Security numbers and tax IDs, payroll and personal data, executive compensation and material non-public financial results. Finance handles them under the IT Policy Manual and the Code of Ethics and Compliance Manual (privacy).
- **Need to know.** Access to financial information is limited to those who need it for their role, and reviewed quarterly (1.4).
- **Payment card data (PCI DSS).** Simtora accepts cards only through a **PCI-compliant third-party processor or hosted payment page**; Simtora systems and employees **do not store, send or record** full card numbers, security codes or magnetic-stripe data in emails, chat, tickets, spreadsheets or notes. A card number received by mistake is reported to `security@simtora.example` and purged with IT's help. The Controller completes the **annual PCI self-assessment** and obtains the processor's attestation.
- **Bank and tax data.** Vendor and customer bank details and tax IDs are entered only in the designated systems, and are masked on screen and in reports wherever practical. They are never sent over unencrypted email, chat or shared unmanaged documents. Documents with such data are shared through approved secure tools.
- **Email and messaging.** Finance staff use only Company accounts, do not forward financial data to personal accounts, and treat unexpected attachments, payment-instruction changes and requests for credentials as potential phishing (IT Policy Manual).

- **Working remotely.** Finance staff may not work in public spaces with visible Restricted data, use unmanaged devices, or print sensitive documents at home without approval; hybrid rules follow the HR Policy Manual (5.2) and IT Policy Manual.
 - **AI tools.** Confidential and Restricted financial data must not be entered in AI tools unless the tool is on the **Approved AI Tools list** and, for Restricted data, the CISO and General Counsel have approved the use (IT Policy Manual). Finance may use approved tools for tasks like drafting and analysis, but every output used in reporting or decisions is reviewed by a qualified person, and AI does not approve payments, entries or exceptions.
 - **Privacy requests and incidents.** Requests from customers or employees about their financial data (for example, access or deletion) are sent to Compliance (`compliance@simtora.example`), which responds within the times in the Code of Ethics and Compliance Manual (acknowledge within 10 business days; respond within 45 days). Suspected data loss, misdirected payment data or security incidents are reported **immediately** to `security@simtora.example` and, for lost or stolen devices, **within 1 hour of discovery**.
 - **Clean desk and screens.** Finance workspaces follow the clean-desk and locking rules in the IT Policy Manual (10-minute laptop lock timeout; 2-minute phone).
 - **Third-party access.** Auditors, advisors, banks and other third parties receive only the data needed and under confidentiality terms; data-sharing platforms are approved by IT.
-

11.3 Legal Holds, Audits and Disposal of Records

Purpose. To preserve records when required and to dispose of them safely when they are no longer needed.

Policy

- **Legal holds.** When the General Counsel issues a legal hold (for litigation, an investigation, an audit or regulatory inquiry), the **hold overrides the retention schedule**. Under the Code of Ethics and Compliance Manual, Legal issues holds within **2 business days** of the trigger, IT implements **within 1 business day**, and custodians **acknowledge within 3 business days**. Finance custodians must not delete, alter or

discard records under hold (paper or electronic), and Finance suspends any routine disposal of the affected records.

- **Audits.** During audits (external, internal, tax, customer or lender), Finance provides records completely and accurately, and does not alter, backdate, or create records after the fact to support past events. Late documentation is labeled with the current date.
- **Disposal.** Records past their retention period and not under hold are destroyed by shredding or secure deletion (IT Policy Manual, secure disposal and media sanitization), with **Controller approval** for a batch and a **disposal log** (description, dates, method, approver). Records containing Restricted data use cross-cut shredding or certified digital erasure.
- **Mistakes and corrections.** A wrong entry in the books is corrected by a documented reversing or correcting entry; original records are not overwritten or destroyed.
- **Departing employees.** Finance records and files that an employee holds are transferred to the manager or Controller before the last day (HR Policy Manual 9.4).
- **Missing or destroyed records.** Loss or damage of financial records is reported to the Controller and CFO immediately and reviewed by Legal for any obligation to notify.

Appendices

Appendix A – Forms and Templates

Finance maintains these forms in the Finance intranet page (or as workflows in the relevant system). Each records who requested, who approved and when.

#	Form or workflow	Used for	Key fields	Approval
A1	Purchase request / purchase order	Buying goods or services (4.1)	Vendor, scope, amount, term, budget line, approvers, IT security review reference	Per 1.2
A2				

Appendix B – Approval Matrix (Delegation of Authority)

B1. Spending and contract commitments (by total committed value over the term)

Value	Approvers	May sign
Up to \$5,000	Budget owner	Department Head (standard-form, budgeted; Legal-approved template) or CFO/CEO/GC
5, 000.01– 25,000	Department Head	Department Head (standard form) or CFO/CEO/GC
25, 000.01– 100,000	Department Head and CFO	CFO, CEO or General Counsel (after Legal review)
100, 000.01– 500,000	CFO and CEO	CEO (or CFO/GC by written delegation)
Over \$500,000	CEO and Board (or committee)	CEO

B2. Payments and banking

Action	Approvers
Routine ACH or virtual-card payment run	Controller (or delegate)
Single payment or run over \$100,000	CFO plus another authorized approver
Single payment over \$500,000	CFO and CEO
Wire to new or changed beneficiary	Dual approval plus call-back verification
Manual check	Controller and CFO
Payment to third party or third country not connected to the transaction, or in cash	CFO and Compliance Officer
Open or close bank account; change signatories	CFO and CEO; Board resolution
Investment purchase over \$5,000,000	CFO and CEO

B3. Customer-side

Action	Approver
Discount up to 10%	Account executive
Discount 10.01–20%	Head of Sales
Discount 20.01–30%	Head of Sales and CFO
Discount over 30%	CEO and CFO
Payment terms over net 45	Controller and Legal (over net 60: CFO; deferral over 12 months: CFO and CEO)
Non-standard terms, side agreements	Not allowed unless through deal review; side letters prohibited
Credit memo up to \$5,000	Controller (Billing Lead up to \$2,500)
Credit memo 5, 000.01–50,000	CFO
Credit memo over \$50,000	CFO and CEO
Write-off up to \$5,000	Controller
Write-off 5, 000.01–25,000	CFO
Write-off over \$25,000	CFO and CEO
Customer credit terms for annual value over \$250,000	CFO

B4. Employee spending, advances and payroll

Action	Approver
Expense report	Manager, then Finance (executives: CFO; CEO: Board Chair or Audit Committee chair)
Single expense over \$1,000 without a budget or PO	Department Head
Travel advance up to \$2,500	Manager
Travel advance up to \$10,000	Department Head
Travel advance over \$10,000	CFO
Petty cash float (up to \$500)	CFO
Hardship advance	Manager and HR; Controller (Finance limit: lesser of one month's net pay or 5,000; 50,000 total outstanding)
Payroll register release	Payroll Manager (prepare), Controller (review), CFO (approve)
Off-cycle payroll	Controller; CFO if total over \$25,000
Spot award up to \$250	Manager
Spot award 250.01–1,000	Department Head
Spot award over \$1,000	Chief People Officer and CFO
Pay-equity reserve release	Chief People Officer and CFO
Equity award	Board or Compensation Committee

B5. Accounting, budget and assets

Action	Approver
Manual journal up to \$25,000	

B6. Compliance-linked approvals (details in the Code of Ethics and Compliance Manual)

Action	Approver
Gift 50.01–250	Department Head (logged)
Gift over \$250	Department Head and Compliance Officer (over \$1,000: plus General Counsel)
Any gift or hospitality to a government official	Compliance Officer
Charitable donation up to \$5,000	Department Head with Compliance check
Donation above \$5,000	CEO and General Counsel
Commission or success fee to third party	Department Head, Compliance Officer and CFO
Related-party transaction over \$10,000 per year	Audit Committee review
Corporate political contribution	CEO and General Counsel, Board informed in advance

Appendix C – Month-End Close Calendar and Checklist

#	Task	BD	Owner	Done
1	Confirm cut-off; lock sub-ledger backdating	Month-end	Controller	☐
2	Departments submit accrual info (received-not-invoiced, contract items)	Month-end / BD1	Budget owners	☐
3	Post payroll, benefits, payroll-tax and commission journals	BD1	Payroll	☐
4	Extract usage data; run usage billing	BD1	Billing, Engineering	☐
5	Close billing; run revenue and deferred revenue schedules	BD2	Billing, Accounting	☐
6	Book cloud and vendor accruals; review PO receipt-not-invoiced	BD2	AP, Accounting	☐
7	Close AP; import and code card transactions; cut off expense reports	BD3	AP	☐
8	Update prepaid, fixed asset, depreciation, amortization, lease schedules	BD3	Accounting	☐
9	Book capitalized software, deferred commissions, stock compensation	BD4	Accounting	☐
10	Intercompany, eliminations, FX remeasurement	BD4	Accounting	☐
11	Complete bank, merchant and investment reconciliations	BD5	Accounting, Treasury	☐
12	Complete all other balance-sheet reconciliations	BD6	Accounting	☐
13	Prepare preliminary financial statements and flux review	BD6	Accounting	☐

Quarter-end additions: tax provision; allowance; SSP and cut-off testing; litigation and contingencies review with Legal; covenant compliance; equity and cap table reconciliation; Board package by 30 days after quarter-end.

Appendix D – Key Controls and Segregation of Duties Matrix

D1. Segregation of duties (who may not do both)

Activity A	Activity B	Reason
Create or change vendor	Approve invoices or release payments	Fictitious vendor and payment redirection
Approve invoice	Release payment	Unauthorized payment
Prepare payment run	Approve or release payment run	Unauthorized payment
Release payments	Reconcile bank accounts	Concealment
Initiate payment in bank portal	Approve or release it; administer users	Unauthorized payment
Create customer / invoice	Apply cash, issue credit memos or approve write-offs	Diversion of cash
Custody of cash or checks	Record receipts or reconcile	Theft
Add or change employee or pay rate (HR)	Process, approve or fund payroll	Ghost employees
Process payroll	Change bank details or pay rates in HR system	Payroll fraud
Prepare journal entry	Approve the same entry	Misstatement
Prepare reconciliation		

D2. Key controls summary

Process	Key control	Frequency	Owner	Evidence
Order-to-cash	Deal review of non-standard terms	Per deal	Controller, Legal	Deal review form
Order-to-cash	Invoice accuracy against contract	Per billing run	Billing Lead	Billing review
Order-to-cash	AR aging and allowance review	Monthly / quarterly	Controller	Aging, allowance memo
Order-to-cash	Credit memo and write-off approval	Per item	Controller, CFO	Approval trail
Procure-to-pay	Approval limits enforced in system	Per transaction	System, Controller	Workflow logs
Procure-to-pay	Three-way match	Per invoice	AP	Match report
Procure-to-pay	Vendor call-back and second-person approval	Per new or changed vendor	AP, Controller	Call-back record
Procure-to-pay	Payment run review and dual approval	Weekly	Controller, CFO	Run report, bank logs
Procure-to-pay	Duplicate payment and analytics review	Monthly	Controller	Analytics report
Expenses	Manager approval and Finance audit	Per report / monthly	Managers, AP	Audit log
Payroll	Register variance review and approval			

Appendix E – Annual Finance Calendar

Month	Key dates and activities
January	Year-end close; W-2, W-3 and 1099 by Jan 31 ; Q4 941 filing; annual review of policies begins; Audit Committee approves internal audit plan by Jan 31 ; payroll calendar published; corporate certification campaign opens (Compliance); Q4 estimated-tax follow-up
February	Draft financial statements; audit fieldwork begins; 409A review; ACA forms prepared; annual insurance review begins
March	Audit fieldwork; ACA 1095-C furnished and filed (per IRS dates); state annual reports and franchise tax (many due March 1 or April 1, per state)
April	Audited statements by April 30 ; Form 1120 or extension due April 15 ; Q1 estimated tax payment (April 15); Q1 close and Board package; Form 941 for Q1
May	Q1 reforecast; plan financials; review of vendor SOC 1 reports
June	Q2 estimated tax payment (June 15); mid-year bank signatory and access review; midyear review of hardship and advance balances
July	Q2 close and Board package; Form 941 for Q2; reforecast; unclaimed property due diligence (per state timing)
August	CEO and Executive Team set budget priorities; nexus review; 401(k) and benefits plan review
September	Budget kickoff; Sept 15 Q3 estimated tax payment; GSA rates change Oct 1 ; unclaimed property reports and remittances (per state calendars); insurance renewal planning begins (90 days ahead)
October	Oct 15 department budgets due; Form 1120 extended due date (Oct 15); Finance publishes new GSA lodging caps within 15 days after GSA update; Q3 close and Board package; Form 941 for Q3; open enrollment support
November	Budget challenge and CEO approval by Nov 30 ; annual charitable budget; year-end planning; pay-equity analysis
December	

Appendix F – Standard Accounting Entries

These are illustrative standard entries. The Controller's accounting memos and the chart of accounts govern.

Transaction	Debit	Credit
Invoice a customer for annual subscription in advance	Accounts receivable	Deferred revenue (and sales tax payable if applicable)
Recognize one month of subscription revenue	Deferred revenue	Subscription revenue
Recognize revenue for services performed, not yet billed	Unbilled receivables (contract asset)	Services revenue
Receive customer payment	Cash (bank)	Accounts receivable
Unidentified receipt	Cash (bank)	Unapplied cash (liability)
Credit memo issued	Revenue (or deferred revenue)	Accounts receivable
Write off uncollectible receivable	Allowance for credit losses	Accounts receivable
Increase allowance for credit losses	Bad-debt expense	Allowance for credit losses
Capitalize sales commission	Deferred contract costs	Accrued commissions or cash
Amortize deferred commissions	Sales and marketing expense	Deferred contract costs
Vendor invoice for services	Expense (or prepaid asset)	Accounts payable
Goods or services received, not invoiced	Expense	Accrued liabilities
Pay a vendor	Accounts payable	Cash (bank)
Annual insurance premium paid	Prepaid expenses	Cash (bank)
Amortize prepaid	Expense	Prepaid expenses

in service)	Construction in progress or asset clearing	Accounts payable or cash
Place asset in service	Fixed asset (by class)	Construction in progress
Monthly depreciation	Depreciation expense	Accumulated depreciation
Capitalize software development labor	Capitalized software	Salaries and related expense (reduction)
Amortize capitalized software	Cost of revenue (amortization)	Accumulated amortization
Dispose of asset (cash received)	Cash; accumulated depreciation; loss (if any)	Fixed asset; gain (if any)
Payroll accrual (gross pay, employer taxes and benefits)	Salaries, payroll tax and benefits expense	Accrued payroll, payroll tax and benefits payable
Payroll payment	Accrued payroll and withholdings payable	Cash (payroll bank account)
Remit payroll taxes and 401(k)	Payroll tax liabilities; 401(k) payable	Cash (bank)
Stock compensation expense	Stock-based compensation expense	Additional paid-in capital
Employee expense report approved	Expense accounts	Employee expense payable
Reimburse employee	Employee expense payable	Cash (bank)
Corporate card charges	Expense accounts or prepaid	Card payable
Pay card statement	Card payable	Cash (bank)
Travel advance issued	Employee advances (other current assets)	Cash (bank)

Travel advance settled	Expense accounts; cash (any refund)	Employee advances
Fund petty cash	Petty cash	Cash (bank)
Replenish petty cash	Expense accounts	Cash (bank)
Hardship advance to employee	Employee advances	Cash (payroll)
Repayment through payroll	Cash (or accrued payroll)	Employee advances
Bank fees and interest	Bank fees; cash	Cash; interest income
Foreign-currency remeasurement	FX loss (or asset)	FX gain (or liability)
Collect sales tax from customer	Accounts receivable	Sales tax payable
Remit sales tax	Sales tax payable	Cash (bank)
Accrue use tax	Expense or asset	Use tax payable
Record income-tax provision	Income-tax expense	Income taxes payable; deferred taxes
Lease commencement (operating lease)	Right-of-use asset	Lease liability
Stale check (not written off)	Accounts payable (or outstanding checks)	Unclaimed property liability

Appendix G – Glossary

Term	Meaning
409A valuation	Independent valuation of common stock used to set option exercise prices under Section 409A of the Internal Revenue Code
ACH	

Appendix H – Revision History

Version	Date	Section	Description of changes	Approved by
1.0	September 30, 2026	All	Original issue	CEO
1.1	October 5, 2026	Introduction, Part 5 scope, staffing and tax statements (10.4)	Added "Locations outside the United States"; updated international staffing and transfer-pricing statements; cross-references to SIM-GLB-001 Part 3	CEO